Yale University
EliScholar – A Digital Platform for Scholarly Publishing at Yale

The Politic | Yale University Publications

Fall 2009

The Politic 2009 Fall

The Politic, Inc.

Follow this and additional works at: http://elischolar.library.yale.edu/politic

Part of the American Politics Commons, International Relations Commons, Policy Design, Analysis, and Evaluation Commons, Policy History, Theory, and Methods Commons, Political Theory Commons, Public Affairs Commons, and the Public Policy Commons

Recommended Citation
The Politic, Inc., "The Politic 2009 Fall" (2009). *The Politic*. 76.
http://elischolar.library.yale.edu/politic/76

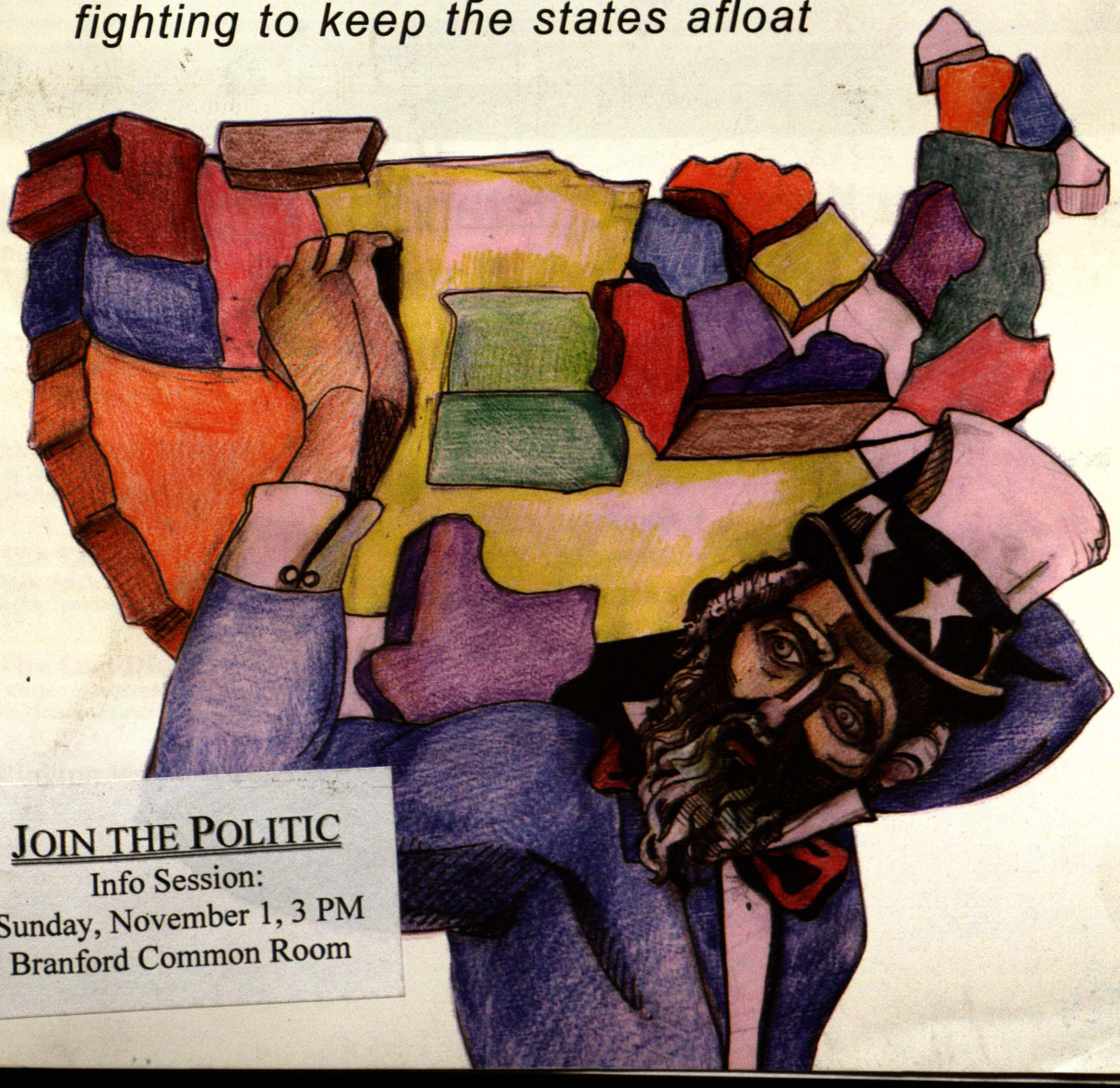
This The Politic is brought to you for free and open access by the Yale University Publications at EliScholar – A Digital Platform for Scholarly Publishing at Yale. It has been accepted for inclusion in The Politic by an authorized administrator of EliScholar – A Digital Platform for Scholarly Publishing at Yale. For more information, please contact elischolar@yale.edu.

THE POLITIC

Fall 2009 A Yale Undergraduate Journal of Politics Volume LXIII, Issue I

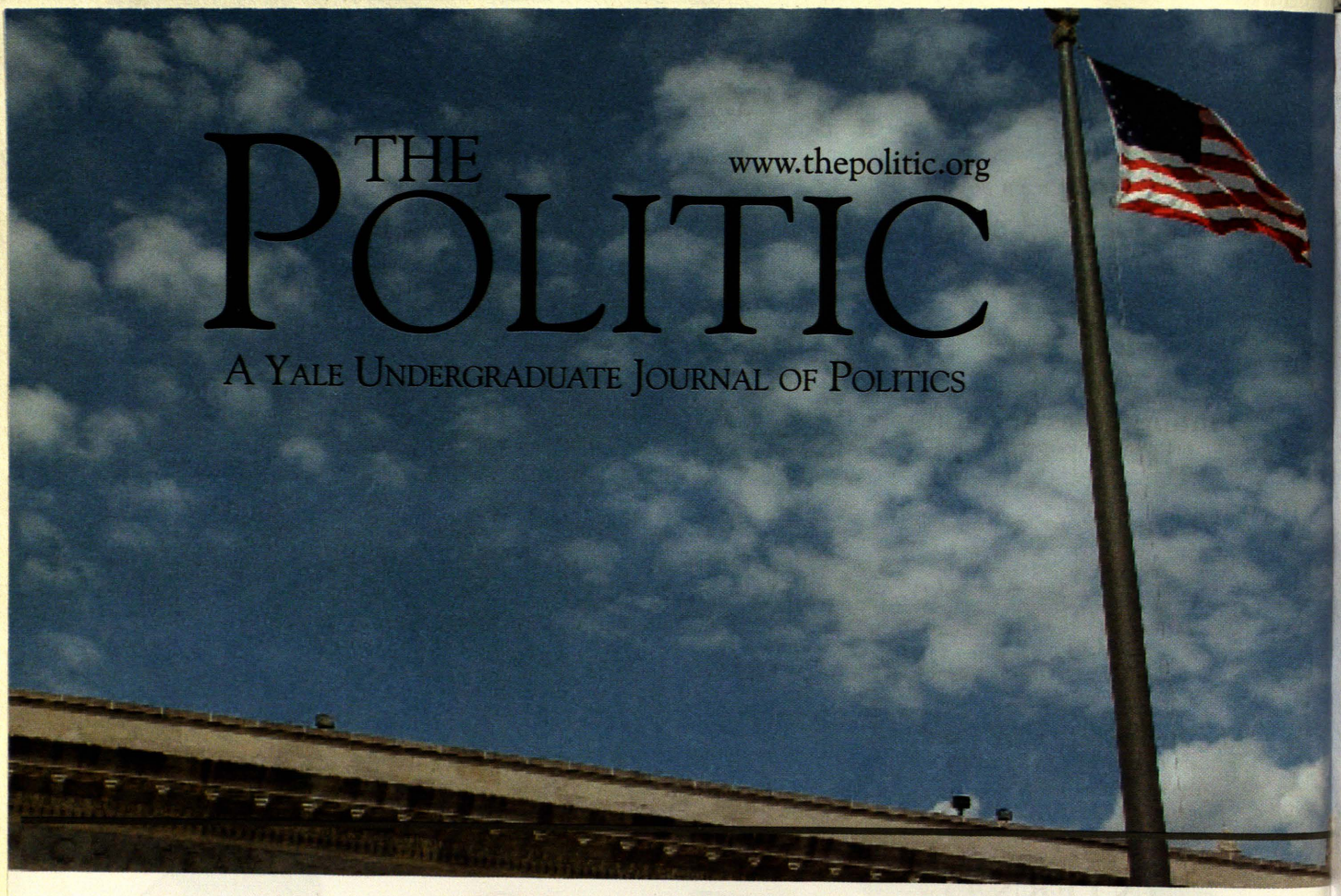
States of Peril

How the federal government is fighting to keep the states afloat



Join The Politic

Info Session:
Sunday, November 1, 3 PM
Branford Common Room



THE POLITIC

www.thepolitic.org

A YALE UNDERGRADUATE JOURNAL OF POLITICS

Do You Know An Outstanding High School Student Leader Who Would Like To Study At Yale This Summer?

THE IVY SCHOLARS PROGRAM

- GRAND STRATEGY
- ADVOCACY SKILLS
- LEADERSHIP TRAINING

Intensive Academic Experience for High School Leaders

For our program prospectus and application,
visit: **www.yale.edu/ivyscholars**

YALE UNIVERSITY
NEW HAVEN, CONNECTICUT USA

THE POLITIC

Fall 2009 - Volume LXIII, Issue I

FEATURES

Holding States Accountable 3
An Interview with Stanley Czerwinski
Conducted by Leopold Wallo

Fifty Ways to Balance a Budget 6
State Governments Look to Reduce Spending and Remain Deficit-Free
By Stephen Sestanovich

Sanford's First Victim 9
An Interview with Governor Jim Hodges
Conducted by Byron Edwards and Matthew Ellison

The Best States for Business 12
An Interview with Kurt Badenhausen
Conducted by Mathew Andrews

Worms in the Garden State 15
The Politics Behind New Jersey's Financial Crisis
By Adam Hirst

Conencticut's Budget Crisis 18
An Interview with James Amann
Conducted by Samuel Breidbart

The Governors as Innovators 20
An Interview with Thad Beyle
Conducted by Lindsay Dow

INTERNATIONAL

One Country, Three Nations, on the Brink 23
By Hannah Kieschnick

The Long Road in Afghanistan 27
An Interview with Said Tayeb Jawad
Conducted by Gabriel Perlman

Securing a Subcontinent 31
An Interview with Ved Prakas Malik
Conducted by Tom Stipano

The Engine of India 33
Balancing Democracy and Geopolitics in South Asia
By Liv Dowling

The Last Dictatorship of Europe 36
Whispers of Democracy in Alexander Lukashenko's Belarus
By Riccardo Valsecchi

Playing Host to the World 38
An Interview with Michael Mahoney
Conducted by Joey Mensah

NATIONAL

Delaying Well Deserved Liberty 40
Seeking Asylum in the United States
By Andrea Levien

Working for Fair Representation 42
Debating the Role of Ethnic Caucuses in Congress
By Veronica Gordon

A GOP Approach to Health Care 44
Suggestions for Reform from the Republican Party
By Greg D'Angelo

Blue Fish Swimming in Red Sea 46
An Interview with Congressman Tom Perriello (D-VA)
Conducted by Nicholas Rugoff

Health Care "City in a Hill" 49
Lessons from Health Care Reform in Massachusetts
By Andrew Feldman

Cover Design by Emmy Waldman

THE POLITIC
A Yale Undergraduate Journal of Politics

Editor-in-Chief
Avi Kupfer

Managing Editor
Matthew Ellison

Features Editor
Mathew Andrews

National Editors
Yaron Schwartz
Sam Breidbart

International Editors
Eddie Fishman
Jeanne Hefez

Publisher
Nicolas Kemper

Politic Staff

Michael Boyce, Abigail Cheung, Jaclyn Delligatti, Lindsay Dow, Liv Dowling, Byron Edwards, Andrew Feldman, Veronica Gordon, Adam Hirst, Sugasini Kandiah, Alexander Kayfetz-Gaum, Hannah Kieschnick Andrea Levien, Joseph Mensah, Gabriel Perlman, Shira Aliza Petrack, Kathleen Powers, Nick Rugoff, Tom Stipanov, Leo Wallo

Board of Advisors

John Lewis Gaddis
Robert A. Lovett Professor of Military & Naval History, Yale University

David Gergen
Editor-at-Large, *U.S. News & World Report*

Anthony Kronman
Former Dean, Yale Law School

Ian Shapiro
Director, Yale Center for International and Area Studies

For information regarding submissions, advertisements, subscriptions, contributions, or to provide feedback, please contact us at **editor@thepolitic.org** or write us at

The Politic
P.O. Box 201452
New Haven, CT 06520-1452

Disclaimer: This magazine is published by Yale College students, and Yale University is not responsible for its contents. The opinions expressed by the contributors to The Politic do not necessarily reflect those of its staff or advertisers.

Fall 2009

Dear Reader,

The American Recovery and Reinvestment Act of 2009 introduced Americans to a completely new style of federal governance. President Obama's $787 billion stimulus used taxpayer funds to expand social welfare programs, improve national infrastructure, and increase energy production among hundreds of projects. Although not detailed in the Act's 407 pages, the Obama plan forges a unique relationship between state and federal government.

Unlike the U.S. House of Representatives, state and local legislatures have to annually pass a balanced budget because they cannot run year-to-year deficits. In the past, this has forced tough choices, program cuts, and overall prudent decision-making. State and local governments have complete ownness over their finances, a right that has historically been accompanied by the implicit responsibility to craft sensible and balanced yearly budgets.

President Obama's plan to throw drowning local and state governments a life vest is not a completely new concept. In 1975, President Ford begrudgingly bailed out New York City by releasing $2.3 billion in direct loans. The federal government continued to use loan guarantees to support the city for ten yeas. Although President Ford originally rejected the cries of legislators that were borrowing two-thirds of the city's operating budget, he eventually determined that New York's importance to the national economy necessitated the loan. Although President Obama's plan has similarities to President Ford's New York City bailout, its scope and intent are unprecedented.

Under the Obama Administration, federal bailout of state governments that have failed to act economically and generate cautious annual budgets has become standard operating procedure. Federal funds have financed over 30 percent of state deficits, allowing hemorrhaging states to continue Medicaid payments and highway construction projects while retaining thousands of employees. This quick infusion of funds may help the states balance their budgets this year, but a greater question looms: how will this affect the motivation to plan wisely and make difficult budgetary decisions in the future?

In this issue of *The Politic,* Government Accountability Office (GAO) Intergovernment Relations Director Stanley Czerwinski discusses how the federal government is holding the states accountable for Recovery Act funds. Iris Lav of the Center on Budget and Policy Priorities argues that despite federal funds, state service programs are in increasing jeopardy because of the decline in revenue. She advocates for a more conservative use of taxpayer funds in good economic times.

Former South Carolina Governor Jim Hodges discusses current Governor Mark Sanford's initial refusal of Recovery Act funds, attributing his decision to ideological convictions. Connecticut gubernatorial candidate James Amann supports using federal stimulus funds, but points to job creation as the only true barometer for successful economic recovery. Forbes's Kurt Badenhausen advocates tax-friendly business law as the means by which states can generate the cash flow necessary to retain programs and employees.

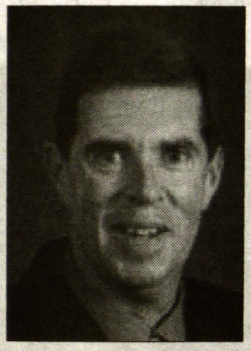
The Recovery Act opens a new chapter in the perpetually evolving relationship between federal and state government. This issue of *The Politic* tackles the question of local and state use of federal funds from a variety of perspectives and experiences, shedding light on one of the most significant issues facing the United States.

Sincerely,

Avi Kupfer

Holding States Accountable

An Interview with Stanley Czerwinski



Conducted By Leopold Wallo

Stanley Czerwinski is the Director for Intergovernmental Relations at the U.S. Government Accountability Office, where he is responsible for leading a broad range of evaluations concerning federal, state, and local governments. Prior to assuming his current position, Czerwinski was GAO's Controller, where he oversaw GAO's budget, financial management, acquisitions, facilities, and security.

One of the stated goals of the GAO Accountability Office is to develop "an analytical tool for examining the fiscal challenges facing state and local governments in the longer term." What will this project entail and how will it help the states to better manage their budgets?

The first thing that we want to do is get a picture of the condition of the state/local sector. To do that we built a model of the sector that relies upon data from BEA and other sources and project what the long-term position of the sector is. That's a function of both the expenditures and the revenues that the sector faces. If you look at the expenditures in the aggregate it really comes down to health care expenses and all others. On the revenue side are three major sources: income taxes, sales taxes, and property taxes. The income and sales are primarily federal and property local government. What we found was that expenditures were the drivers of the long-term fiscal situation, and revenues were the drivers of the short-term situation.

> *"State governments have to be wary in their spending about 'going over the cliff.'"*

What measures is the GAO currently utilizing in order to supervise the dispersion and management of federal stimulus funds?

In the Recovery Act there is a provision that requires GAO to look at selected states' localities to see what's going on with the Recovery Act. This is a change from what GAO is normally asked. Usually we're asked to look at housing, education defense systems and so on or we might be asked to look at a function like contracts, banks, and information technology. In this case the unit of analysis is the state/local sector. So what we did was identify those states which are receiving the most Recovery Act funds and then we deployed our team to sixteen of those states and the District of Columbia. What is covered is roughly one third of the states: and this represents about two thirds of the money.

In those states we're looking at three things. First of all is the flow of funds: in which case we see how much the federal government has made available, how much the state and local government is using. Then because the Recovery Act goes down programmatic lines, many of those programs have rules with regard to how that money is used and so we check to ensure that they are being complied to. That is step one. Step two is the state governments are required to have oversight of the funds to make sure that they are being spent in the correct way: so we look at the internal control as well as the results of state and local audits.

The third part is assuming the money is being spent properly; you want to see whether the money is saving you anything. If you look at the Recovery Act there are certain goals that it spells out. One is to stimulate the economy and create jobs. The second is to stabilize the condition of the state and local sector. The third is investment in the environment, infrastructure, and information technology. Our job is essentially to see whether the money is meeting those particular goals.

When it comes to the Recovery Act there has been rhetoric of a 'Niagara Falls' of funding, raising questions about whether states are misallocating or inefficiently utilizing these federal stimulus dollars. While extreme need might lead money to be spent quickly, that money

might not always be spent efficiently. How you evaluate the argument that hastiness on the part of states means the money may be spent quickly, but not necessarily the most productively?

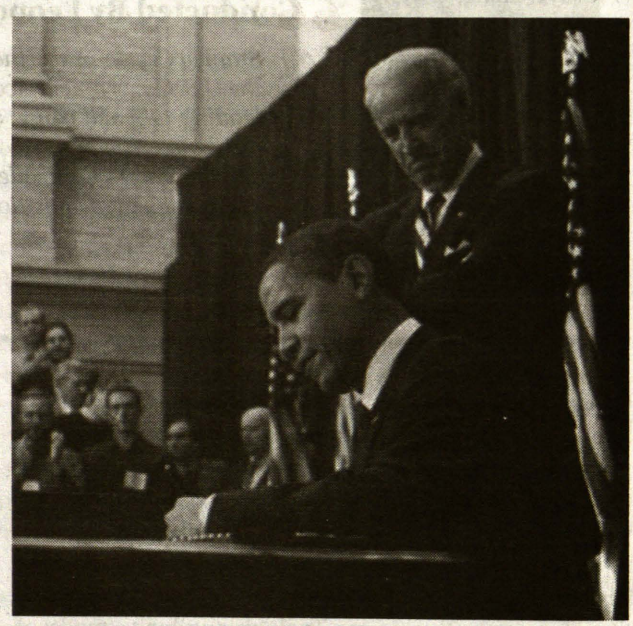
What you want to do is go back to the purpose of the Act, the first being the stimulation of jobs. Well that one you want to set quickly because you want to provide a stimulus to the economy—so you look at the positions of the Act which are geared to that. The other goal is the stabilization of local government. That money you want looked at as to what use the state government is making and what effect that money is having on their position. The third by definition is going to be federal spend-out. What we did is take the projected spend-out rate the CBO had when the bill was passed, and now we're comparing it with actual spend out data that we gather. Finally, because the money goes to state and local government along certain programmatic lines. What we want to do there is look at how that money is going exactly program by program.

Another criticism of state allocation was brought up by the *New York Times* this month. According to the *Times*, while "the stimulus will spend $27.5 billion in federal money on highway projects. At least 19 states are planning to cut their highway spending this year." Cutbacks at the state level (aimed at curbing budget deficits) have thus offset much of the economic impact of the stimulus package. What do you make of this situation? Do you believe that states should be obligated to match federal funds with their own spending?

There are two things going on here. First, going back to the previous question, the state governments have to be wary in their spending about "going over the cliff." They have to spend their money in the short term, but also while being mindful of the long-term budget situation. What you're also seeing right now is that states are strapped because of the revenue shortfalls. So the problem is when you include the idea that states have to match funds: often they don't have the ability.

Obviously the GAO is a non-partisan organization, but it must face difficulties in dealing with a partisan system. For example, a number of Republican governors declined either in part or the entirety of federal stimulus money. Texas Governor Rick Perry rejected $556 million of stimulus money earmarked for unemployment benefits, but still chose to accept $16 billion in stimulus funds earmarked for transportation, education and health and human services projects. How does the selective utilization of federal funds affect efforts by the GAO to track stimulus money?

What we do is that we track the money regardless of what the political situations are. In the case of those states which are not fully accepting all of the money, the legislature usually weighs in too. So that's a political dynamic that we don't involve ourselves in. We essentially wait for that to be decided and then look at the money as it flows.



President Barack Obama signs the Economic Recovery and Reinvestment Act in Denver, Colorado on February 17, 2009. The $800 billion plan is the largest piece of legislation passed by Congress in the history of the United States and poses substantial oversight challenges for the GAO. (Flickr)

To what extent are the budgetary problems afflicting many states the result of the more temporary issues brought on by the financial crisis and how much goes further beyond? Are there some deeper structural problems here?

The answer really comes in three parts. First of all, what you hopefully have on the revenue side is a short-term problem caused by the financial crisis. The economy is down, unemployment is up. If people are unemployed they're not paying as much in either income or sales taxes. We know that this financial situation has largely been driven by problems in the housing sector: that affects property tax values which are the main source of income for state/local government. So in this downturn from the state/local perspective all parts are affected. Usually you get one or two, but now you have all three. Hopefully the economy will turn around, the financial crisis will be resolved and their revenue situation will be fixed. The problem is that the Recovery Act covers until essentially 2011. Because of the depths of the situation of the state governments they've been front-loading their revenues from

the Recovery Act. You run the risk of Recovery Act money running out before the economy has turned around, leaving state and local government to fit in the gap. And that's exacerbated by the idea that unemployment is typically a lagging indicator of economic recovery. That's number one.

Number two is that the silver lining, as we've previously seen in half-recessions, state governments are forced to make large structural change in how they do business. Hopefully we'll see some positive fundamental changes. Number three: the bad news is that long term, if we do not address health care we could have revenue rebound, we could have structural changes, and we will not address the fundamental problems.

> *"You run the risk of Recovery Act money running out before the economy has turned around, leaving state and local government in the gap."*

Multiple states are now providing web sites to track funds from the American Recovery and Reinvestment Act, in addition to creating independent accountability boards and tasks forces to supervise projects. How do you evaluate the effectiveness of these efforts so far? In a similar vein, what do you make of "recovery.org" which was suggested by Obama for offering normal taxpayers an unprecedented level of transparency in tracking expenditure, but is now undergoing an expensive several year re-design?

When we talk about fundamental changes in the way we do our business, this idea of increased transparency fits into that category. So this is a very positive development with increased openness, increased reporting, and increased transparency. The challenge is going to be the quality of the information submitted by the recipients of Recovery Act funds, which will end up on "recovery.org" or states' sites.

Prior to the Recovery Act there was already a database set up called "usaspending.gov" and that's very much in line with these recent developments. The system was a good idea, but the problem we found was that the quality of the data was not reliable. This was particularly when you start to get to sub-recipients: that data was either incomplete or non-existent.

Is the best method for preventing the need for future state bailouts shifting responsibilities for social insurance from states to the federal government?

If you think about public services now like Medicaid, food stamps and so on, a lot of them to a large degree are funded by the federal government. Given the financial position of the U.S. government, I think it's highly unlikely that you are going to see the federal share increase. The federal government makes the rules about how programs work and how they are funded. I think if anything there will be pressure to reduce the federal contribution: the question becomes whether the state governments can deal with that additional responsibility, given that they are already struggling where they are.

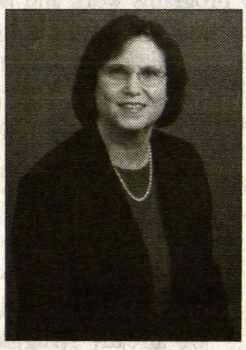
GAO explicitly states that maintaining current benefit and eligibility levels given predicted increases in Medicaid case loads will be unsustainable. Do you think that Congress will heed this warning?

Right now we are looking at medical care reform in the Congress, and Medicaid is a part of that, and a significant part of that is cost containment. So at this point I think that the Congress is heeding that point that we've made, but at this point to be seen is whether they will ultimately agree in this health care package.

THE POLITIC
Interested in contributing?
Interviews
Features
Blogging
Business
Advertising
email publisher@thepolitic.org
visit www.thepolitic.org

Fifty Ways to Balance a Budget

State Governments Look to Reduce Spending and Remain Deficit-Free



By Iris J. Lav

Iris J. Lav is the Senior Advisor for the Center on Budget and Policy Priorities, one of the nation's premier policy organizations working at the federal and state levels on fiscal policy and public programs that affect low- and moderate-income families and individuals.

There is an inherent conflict in our federalist form of government. States (and localities) have major, important responsibilities for providing services to their residents. The need for many of these services—public health insurance and job training, to name just two—increases when the economy slides into recession and residents lose jobs and income. But states operate under requirements to balance their operating budgets every year or biennium, which means that most states cannot run a deficit or borrow to meet their operating costs.

When tax revenues fall in a weak economy, states do not have sufficient funds to meet their normal, ongoing responsibilities—let alone the increased demand for services generated by the recession.

> ***"States on average were missing one dollar out of every four required this year to meet the needs of their residents."***

The current recession provides a particularly strong example of this dilemma. All but two states, Montana and North Dakota, faced deficits for state fiscal year 2010 (which runs from July 1, 2009 to June 30, 2010 in most states). A deficit means that there is a gap between the funds a state needs to provide its ongoing level of services (somewhat swollen by recession-induced demand) and the revenue the state has available to fund those services. These gaps are very large; across all of the states with deficits they total $169 billion — averaging 24 percent of their fiscal year 2010 general fund budgets. Put another way, states on average were missing one dollar out of every four required this year to meet the needs of their residents.

The 2010 deficits came on top of 2009 budget gaps of $110 billion, on average 15 percent of state general fund budgets.

There are a number of reasons that this recession has caused such severe fiscal distress for the states. Unemployment, which peaked after the last recession at 6.3 percent, has already hit 9.7 percent and is widely expected to continue to rise to 10 percent or higher before it ultimately drops back. To the extent residents are unemployed, income tax revenue declines. So does consumption and thus sales tax revenues, particularly in this recession with its sharply curtailed access to consumer credit and home equity loans. The depressed housing market also has reduced taxes based on consumption, as people refrain from buying furniture, appliances, construction materials and the like.

Total state tax revenue dropped nearly 17 percent from the second quarter of 2008 to the second quarter of 2009, according to the Census Bureau. Income tax revenue dropped more than 27 percent over that period.

In addition, many local governments will soon be experiencing reduced property tax revenues as a consequence of the drop in housing values. The localities will look to states to address the squeeze on local and education budgets.

State difficulties in financing their budgets are expected to continue into state fiscal years 2011 and 2012. Best estimates suggest that 2011 deficits will total about $180 billion, slightly greater than those for 2010. Improvement in state fiscal conditions typically lags economic recovery, and that is expected to be the case in the aftermath of this recession.

Coping with Deficits

States have three primary actions they can take during a

fiscal crisis: draw down available reserves, cut spending, and raise taxes. They also can use federal funds to fill in gaps if such funds become available. States have used all these strategies during this downturn.

Federal Funds

Unlike the states, the federal government can run deficits and arguably should do so during an economic downturn. Nevertheless, this is the first recession in recent memory in which the federal government has provided a substantial amount of funding to help states close their gaps. (A much smaller amount of federal fiscal relief was provided in 2003.) Federal funding is covering about 30 percent of state deficits through state fiscal year 2010, with enough anticipated to be left to cover about 20 percent of projected fiscal year 2011 deficits. Unless it is extended, however, the federal stimulus funds for fiscal relief will run out long before state fiscal conditions recover.

Reserves

States began the recession with a significant amount of reserves—so-called Rainy Day Funds and other types of reserves—that equaled on average about 11.5 percent of annual state spending. Much of these reserves have already been drawn down to help close gaps in fiscal years 2009 and 2010. The severity of this recession has swamped the size of the reserves; they were not adequate to meet the need—even in combination with federal fiscal relief funds.

"Ground zero" in lower Manhattan as of August 2009. While New York is making progress in rebuilding the World Trade Center, Lav argues that states still have yet to fully recover from the recession following September 11, 2001.
(Flickr)

Budget Cuts

Some 41 states have enacted budget cuts that reduce services to their residents, including some of their most vulnerable families and individuals.

For example, at least 27 states have implemented cuts that will restrict low-income children's or families' eligibility for health insurance or reduce their access to health care services. Programs for the elderly and disabled are also being cut. At least 24 states and the District of Columbia are cutting medical, rehabilitative, home care, or other services needed by low-income people who are elderly or have disabilities, or significantly increasing the cost of these services.

> *"So long as there are business cycles while states are required by their constitutions or laws to balance their operating budgets, in most cases without borrowing, there will be state fiscal problems during recessions."*

At least 25 states are cutting K-12 and early education; several of them are also reducing access to child care and early education, and at least 34 states have implemented cuts to public colleges and universities.

In addition, at least 42 states and the District of Columbia have made cuts reducing the size of state work forces or the work time of state government employees. Such cuts not only often result in reduced access to services residents need, but also add to states' woes because of the impact on the economy from less consumer activity.

Expenditure cuts (and to a lesser degree tax increases, depending on how they are targeted) are problematic policies during an economic downturn because they reduce overall demand and can make the downturn deeper. When states cut spending, they lay off employees, cancel contracts with vendors, eliminate or lower payments to businesses and nonprofit organizations that provide direct services, and cut benefit payments to individuals. In all of these circumstances, the companies and organizations that would have received government payments have less money to spend on salaries and supplies, and individuals who would have received salaries or benefits have less money for consumption. This directly

removes demand from the economy.

Tax Increases

Approximately 30 states have raised taxes in this recession, along with enacting budget cuts, as part of a balanced approach to closing deficits. Nine of those states have gained significant revenues by increasing taxes on residents with high incomes. A large number of economists—including Nobel Prize winner Joseph Stiglitz and current federal Office of Management and Budget chief Peter Orszag—have advised that raising taxes on higher income residents is one of the least damaging ways for states to close deficits, because much of the money comes from savings and so does not diminish economic activity in the state.

Governor Brian Schweitzer (D-Montana) addresses his efforts to make government more effective during a talk at the Center for American Progress. Only Montana and North Dakota avoided budget deficits for state fiscal year 2010. (Center for American Progress Action Fund/Flickr)

Revenue Declines, Not Overspending, Causes the Problems

Some people have claimed that current state fiscal problems are the result of overspending by states during healthy economic times. The facts do not support that contention.

Many states never fully recovered from the fiscal crisis of the early part of the decade. State spending fell sharply relative to the economy during the 2001 recession, and for all states combined it still remains below the fiscal year 2001 level. In 18 states, general fund spending for fiscal year 2008—six years into the economic recovery—remained below pre-recession levels as a share of the gross domestic product.

In a number of states the reductions made during the prior downturn in education, higher education, health coverage, and child care remain in effect. These important public services were suffering even as states turned to budget cuts to close the new budget gaps. Spending as a share of the economy declined in fiscal year 2008 and 2009 and is projected to decline further in 2010.

Improving the Situation

So long as there are business cycles while states are required by their constitutions or laws to balance their operating budgets, in most cases without borrowing, there will be state fiscal problems during recessions. The very services that residents need during a recession will be in jeopardy of being cut because states lack revenue to support those services. While this conundrum will continue to exist in future economic downturns, the following are among the ways in which the problem can be eased.

- There could be a permanent federal law that provides adequate federal fiscal assistance to states in a timely manner as the country slides into recession.

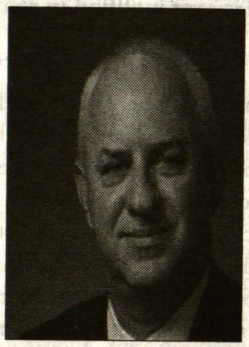
- States could try to amass larger Rainy Day Funds or other reserves, and—particularly in states that have restrictions on the use of the funds, extremely short payback periods, or other barriers to the use of the funds—assure that the funds are available for use when the economy weakens. States could also enact mechanisms that help assure that sufficient funds are saved during good economic times.

- States could be prudent during good economic times by refraining from enacting tax cuts or major program increases that phase in over several future years. States often overestimate their ability to afford the future costs of such tax cuts and programs. In addition, multi-year phase-ins undermine states' ability to react to changing future economic conditions.

None of these actions can eliminate state fiscal crises during recessions, but they could alleviate the consequences.

Sanford's First Victim

An Interview with Governor Jim Hodges



Conducted by Byron Edwards and Matthew Ellison

Jim Hodges served as Governor of South Carolina from 1999 to 2003. A Democrat, he lost his bid for re-election in 2002 to current Governor Mark Sanford and currently serves as CEO of Hodges Consulting Group, a subsidiary of Kennedy Covington Lobdell & Hickman, L.L.P.

Governor Sanford has been heavily criticized for slashing the state budget. In 2008, for example, he cut spending by $326 million from a $6.8 billion budget plan. He justified his actions, claiming that he only expected $200 million in new revenue for the year, about $1 billion less than the previous year. Do you think Sanford is making these cuts because of his small government ideology or are his decisions significantly influenced by the current state of the economy and budget shortfalls?

South Carolina, like most states, requires a balanced budget, so Governor Sanford and other governors around the country have had to impose some cuts because of the precipitous fall in the overall economy. But I think on an ideological basis, if you look at the period before 2008, and you also look at some of the actions since that time, it's obvious that there is an ideological piece to this that is much more significant than his desire to simply balance the budget. The answer would be that the economy played some role, as did the balanced budget requirement, but on an ideological basis, Sanford has been pushing an agenda of smaller government for some time. I would say incorrectly pushing an agenda for smaller government. South Carolina already has a very small government, and the issues we face here are inadequate investment in education and not enough thought about strategic investments and economic opportunity.

> *"There is an ideological piece to this that is much more significant than [Governor Mark Sanford's] desire to simply balance the budget."*

The governor's attempt to reject President Obama's stimulus plan made him a national figure. He justified his actions by objecting to the fact that the stimulus would increase the deficit. Do you think this was the real reason? Do you think this is justified?

Well, I don't think it was the real reason. My sense is that he saw an opportunity to promote an ideological point of view about the role of government. He also saw an opportunity to become a larger figure in the Republican Party by taking a stand against the stimulus money coming into South Carolina. I thought it was a political move. He was able to cloak that in terms of the federal deficit, but I believe it was a political move on his part to try to draw attention to himself as someone who was opposed to increased spending. The truth of the matter is that all state governments were facing significant shortfalls and all the stimulus funds were doing was temporarily filling significant holes that government faced. So I thought he was picking the wrong fight, but I do believe that it was predominantly related to pushing both a political agenda that he has and also brightening his political profile in the Republican Party.

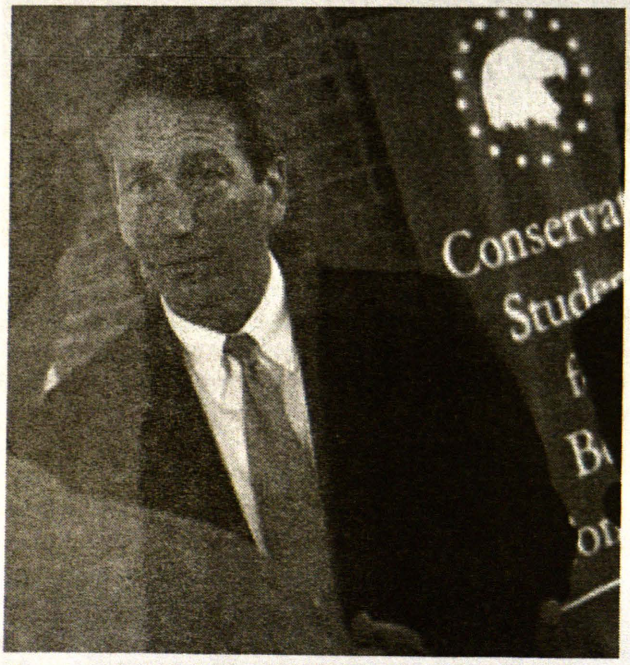
If he rejected the stimulus for ideological reasons, why did he not try to reject all of the money? He claims it is because he has "discretion over only the stabilization funds." Do you find this argument reasonable?

I always thought he was a little bit pregnant on that one. If you take some of the stimulus money, you lose the argument of ideological purity, and I think that's what happened in that instance. If Governor Sanford really believed that ballooning deficits were the basis for rejecting the money, he would have

rejected all of it and not some of it. You can't cherry pick which parts of the stimulus program you want to accept and those you want to reject based on ideology; either you accept it or you reject it. As a result, I think that for most serious people, they looked at that and saw it as more of a political stunt because he didn't choose to reject all the stimulus money.

Sanford said that he wanted to redirect the $700 million that would be going toward education and health care to "pay down the state's debt." What do you think is the most effective way to use the money, given that it's going to be used in some way by the state?

Let's put it in context here. South Carolina, at the time that he attempted to reject that money, was second or third in unemployment in the country. We had, at that time, a 12 or 13 percent unemployment rate. If he had been successful in rejecting that $700 million or redirecting that $700 million to debt reduction, we would have seen a significant negative impact on employment in our state. Unemployment would have gone up even further because health care workers and people who work in the education field would have been laid off. It would have had a substantial negative impact on jobs in our state if you were to spend the money as he wanted to spend it. Clearly the most effective way of spending that money was on health and education. The money is temporary, and it's there to fill temporary holes. The most immediate stimulative effect for South Carolina was injecting that money into keeping our schools and our health care system going. It kept people employed in important sectors of our economy.



Governor Mark Sanford (R-South Carolina) giving a talk at Hartness Pavilion Middle School in March 2009. Hodges is critical of Sanford's opposition to the stimulus and his attempt to refuse stimulus from the federal government.
(Flickr)

In general, do you think a state is ever justified in refusing to accept federal money?

I can't say there wouldn't be circumstances where you wouldn't accept federal money. There could be strings attached to the acceptance of money that might be unacceptable to a state. I certainly don't think that was an acceptable basis for refusing the money because it had such a clear positive impact on the state. The other piece of it was that South Carolina citizens were going to have the responsibility of paying that money back whether they accepted it or not. The net effect of not accepting it would have been that $700 million would have been directed to other states who would have spent it, and the taxpayers of South Carolina still would have received their share of the bill for that money. I can't think of any immediate example in which states would be justified in refusing to accept the money. I suppose that there could be instances in the future where if there were a cost-sharing mechanism in place and states simply couldn't afford to pay their share of the costs then they might be justified. But that's not the case here. It wasn't the case where we had substantial cost-sharing requirements.

Education was a priority for you during your term. You successfully campaign for the South Carolina Education Lottery, launched the First Steps to School Readiness, supported more funding for preschools, and spearheaded other types of education reform. How would you rate the progress of South Carolina's school system during your term, and how would you rate Governor Sanford's education policies?

There are a number of things that I'm proud of that we did. First, we led the nation in SAT improvement during my four years in office and launched the early childhood education program, First Steps, which I think has been very successful. The lottery initiative was designed to try to help make college more affordable in our state and also to keep some of our best and brightest home rather than have them go to Yale or some other place because that is such a critical part of keeping your economy moving and having your state be a dynamic place is to keep your most talented young people at home. One of the great challenges for South Carolina, I believe, is a move to dramatically increase the number of young people who are exposed to college. That doesn't necessarily mean a four-year degree. It's great to have a high number of four-year college graduates, but even those that attend of year of post-high school education or get a two-year degree is just so important in developing an economy and in making people more flexible

and dynamic citizens. I think all those pieces were critical components of our education story and the success that we had. We could go through a long list of other things—the focus on reading, the governor's reading initiative, and our effort to try to strengthen the middle school curriculum. We were in the top three in the country in the number of nationally certified teachers. There was a whole range of things we did to try and strengthen the instruction and opportunity and get kids better prepared to start school and make college more affordable. I think most people would rate that four-year period a strong success in trying to move South Carolina education forward. Governor Sanford has a different ideological perspective on public education. He has chosen to spend most of his time advocating for vouchers and proposing that more dollars be taken out of public education and put into private schools in South Carolina. He's not been successful on that, and I would say that if you were to look at the statistics—SAT scores have gone down during his period in office, and student test scores have gone down too overall—I think that he's had a difficult run of it on education issues.

More generally, what role should the federal government play in education?

> *"Well, we were the ones that fired the first shot."*

When you look at the overall education budget in our country, the federal government contributes about 7 percent of the overall education budget, and the remaining 93 percent is contributed by state and local sources. Historically, the federal government has left to the states and local communities the responsibility of educating children and also the authority for setting curriculum and setting the rules. If I see a troubling trend, it has been that the efforts in Washington to try to dictate how schools are run without picking up an increased piece of the price tag. From a governor's perspective, that was very frustrating. The No Child Left Behind program is an example. When you have increased mandates from the federal government on how to operate your schools.

To return to the question of when you would refuse federal money for programs—when the federal government is threatening to withhold funds unless to follow their mandates, it's a little difficult for governors to swallow, and I think for local communities to swallow as well because often they set up these expensive new programs and don't provide any resources to try to implement them, and it's simply one more distraction from your effort to run high quality schools in your state. I'm a huge Obama supporter, and I'm hopeful that Arne Duncan and the Department of Education are going to be a better partner with state governments and local communities in improving schools. I see some positive signs that that's going to be the case. I still am a strong proponent of state and local control of education because all of our communities are so unique that they face their own set of issues, and more importantly, states and local communities have a been a great laboratory for new ideas and new ways of looking at how to educate our children. Greater federal control normally means more rigidity in how we approach things and less creativity, and I just don't want to see that happen.

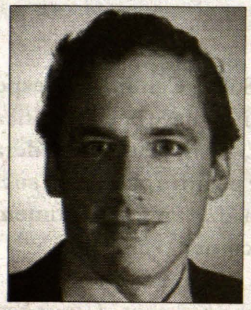
Throughout American history, South Carolinians, especially and maybe exclusively whites, have been skeptical of the potential for government, particularly the federal government, to be an engine for positive change in society. What do you think is responsible for this sentiment, and do you think it can be overcome?

Well, we were the ones that fired the first shot. Going back to the Revolutionary period, there been a great questioning of central authority to empower government. I think in South Carolina that that's been the view for several hundred years. There are a couple of ways to look at that. My viewpoint always was that when you're a state that has one of highest poverty rates in the country and faces the challenge of trying to increase the number of people who have a high school degree and go on to college, there's a need for an effective, efficient government to try and help address those problems. You're not going to make the kind of changes that we need made, to address education deficiencies and to try to improve our state without an effective, efficient government.

I underscore efficient and effective because there have been government initiatives at the state and federal level that haven't been so successful. I prefer to say that people have been frustrated over the lack of success of some of these initiatives in the past, and I do believe that when you launch a new initiative like First Steps or the lottery or the list of other things that we tried, when you can quantify that they've been successful, I think people embrace that. At first they may reject them, but when they see that they're successful, I believe they embrace them and understand the role that they can play. Getting back to your central question, I think it relates to a strong concern about the role of government that goes back to the 1700s in South Carolina, and it's something that still exists today. You can't ignore the racial dynamics of our state, that we've had the history of the 50s and the 60s where we went through the integration of our society, and the government played a role in that, and there's still lingering resentment with some in our state—I think a small minority—over the role that government played in that process.

The Best States for Business

An Interview with Kurt Badenhausen



Conducted By Mathew Andrews

Kurt Badenhaused in the Senior Statistics Editor for Forbes.com *and is involved in the production of Forbes's annual "Best States for Business" rankings.*

Making a ranking of the "Best States For Business" seems difficult in light of the litany of criteria that analysts can use. Describe for a minute how *Forbes* ranks the best states for business and the criteria that it uses.

We look at six broad categories: business costs, the labor supply, the regulatory environment, the economic climate, growth prospects for the state, and finally quality of life. Within each of those categories we are looking at particular data that goes into that. For example, within business costs we examine labor costs, taxes, energy costs. In terms of the growth prospects for a state, we are looking at venture capital investments, projected job growth, income growth, and growth of the economy. Overall, we are looking at 33 data points that are grouped into those six broad categories. We weigh business costs most heavily and also consider the labor supply a critical category. We compare how each state does within each individual category, weigh those individual category ranks accordingly, and add up the numbers.

> *"States dealing with budget shortfalls aren't looking out for their business climates."*

A lot has happened since *Forbes* released its last "Best States for Business" ranking in July 2008. How has the economic crisis affected this year's rankings?

The economic crisis certainly shook up the rankings this year. Probably more so on the downside than on states making dramatic improvements. We did see a few states make decent moves up. Although North Dakota has one of the smallest economies in the country, the job picture there has held up better than in probably any other state. Montana, with a similar story to North Dakota, made a big move up this year as well. Where you really saw the economy affect the rankings, however, is where states have moved down. Probably the biggest examples are three states that have just been booming over the last decade: Florida, Arizona, and Nevada. All have seen huge influxes of people, their economies have been on a role (adding tons of jobs), and the growth of all three economies has been fueled to a large degree by the construction boom in each state. That obviously fell apart in 2008. Median home prices are down dramatically, and all three economies right now have seen projections scaled way back. All three states are dealing with tough economic times, and each dropped at least 10 places in the ranking.

Which individual rankings were most severely impacted?

Not so much costs or the labor supply. The rankings that really got hurt are the current economic climate and the growth prospects. It simply does not look as good today, especially in places like Nevada and Arizona. At the end of the day, businesses have to consider that as well. Do you want to get caught up in volatile economies that go through boom/bust cycles? You also have to consider that people wont be flocking to these locales anymore. Even business costs will be affected because someone is going to have to pick up the tab for the huge shortfalls in state government revenues. Unfortunately, that is going to fall on individuals and businesses.

What about the success cases this year? How did they manage to whether the economic crisis?

I don't think North Dakota or Montana did anything great to propel themselves upward. What they managed to do is not

fall at all. Flat is the new up. They both have steady economies and didn't get caught up in the housing boom. North Dakota has also been able to add jobs to its economy (which is something not many states can say). Only two states—Alaska and North Dakota—are supposed to add jobs this year, and North Dakota is one of only three where gross domestic product is supposed to expand in 2009.

Despite the economic crisis, Virginia has managed to stay at number one for four consecutive years now. How do they do it?

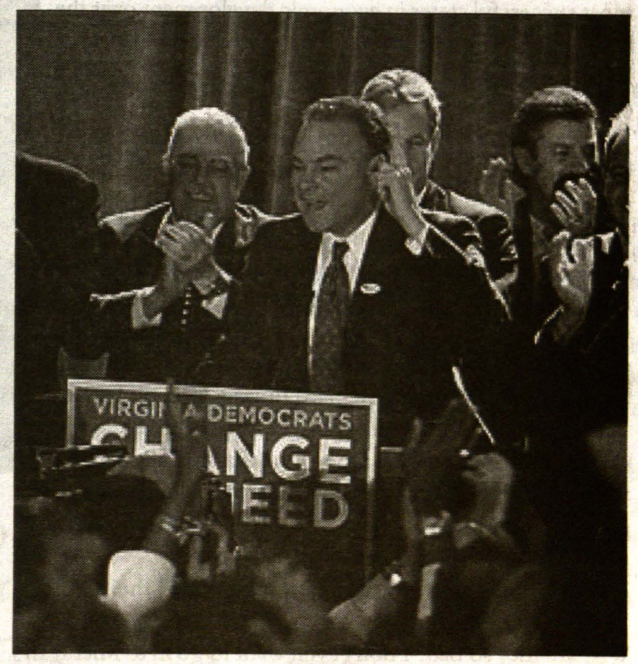
Virginia has a very business friendly reputation, which goes a long way. They also back up their reputation by putting something behind it. They have a very strong incentives plan in place to attract companies. They have extremely diverse economies around the state: agricultural bases, huge defense and ship building in the southeast, and a lot of high-tech industry outside of DC. There is also a very strong university presence in Charlottesville. They have a lot of things going for them. As far as we're concerned, Virginia also has the top quality of life of anywhere in the country. They have a very strong school system, crime is low, poverty rates are low, and there are lots of strong cultural opportunities. The cost of living is kind of high, but if you can get past that the quality of life in Virginia is very high. At the end of the day, that helps make business decisions. If people want to be there, so do businesses.

States everywhere are facing tough budget decisions and debating legislation to improve economic forecasts. What do you see as the most important criteria for state governments to improve their business environment?

What you can do outwardly to get a lot of attention is put tax- friendly laws in place. Costs are very important. However, I think that what businesses are most concerned with at the end of the day is labor. People want to know they can fill jobs with qualified people. What you need to do in states struggling with their business climate—though, unfortunately, this is a long term solution—is to put money into education. One of the best places to put it in are community colleges, which can put out well-rounded, educated people. Some of the poorer states investing in K-12 education (places like Louisiana and West Virginia) aren't necessarily responding with the best answer. The people that get the best education tend to leave the state. If you can keep people in the state and provide them with a higher education, states can really benefit from that. It's not an easy answer, but that's the best thing states can do in terms of devoting their resources.

So how do you evaluate the measures already taken by states to deal with the economic problems? Are they doing what needs to be done?

I don't think any of these solutions change the long term economic problems that states are facing. But states are forced to deal with the next twelve months. It's hard to plan with farsighted ideas when you're in the desperate situation of closing budget shortfalls. In the end they are two different things. States dealing with budget shortfalls aren't looking out for their business climates at all. They can't. In a perfect world they should be. But just as Wall Street focuses on a quarterly to quarterly basis instead of looking to the long term, states are forced to do the same kind of thing because they have to come up with the cash. They can't just borrow the money like the federal government.



Governor Tim Kaine (D-Virginia) at a rally for presidential candidate Barack Obama in August 2008. Virginia has remained at the top of the Forbes list for four consecutive years through a combination of incentives plans, economic diversification, a strong university system, and high quality of life. (Flickr)

Have federal funds done anything to help?

In terms of the stimulus? I don't think so. I don't even think much of the money is out yet. In theory it should help over the next twelve months. But it's not a dramatic boost for any of these states. It does get some people back to work, but reviving the private sector would help more than any money Washington has provided thus far.

In the 2008 rankings, you argued that the three bottom

states (Alaska, Louisiana, and West Virginia) were "all trying to overcome problems that have plagued their states for decades." They have since managed to improve their position, if only slightly. What accounts for the difference?

Louisiana has a couple long-term problems. First, the problem of corruption. Second, the perception that their labor force is uneducated. I think the corruption problem they have was met head on by the new governor. They've made this priority one. If you look at the ethics rankings of state governments that are out there, Louisiana has improved dramatically. People are starting to recognize that. They also implemented a new jobs program called "Louisiana Fast Start," which borrows heavily from Texas and Georgia—two of the most successful states in economic development over the last decade. They are also starting to move past Hurricanes Katrina and Rita, which obviously had a devastating effect on the entire state.

In Alaska - I'm afraid I'm starting to sound like a broken record—their economy has held up much better than other states. They've had job growth constantly, year after year, in both boom times and recession. During this recession, the consistency of the Alaskan economy has helped Alaska hold up better than the other states. What they've done is that when oil prices went crazy, they socked away a lot of the profits. They didn't go crazy spending, and they can thus stand the hard times a little bit better.

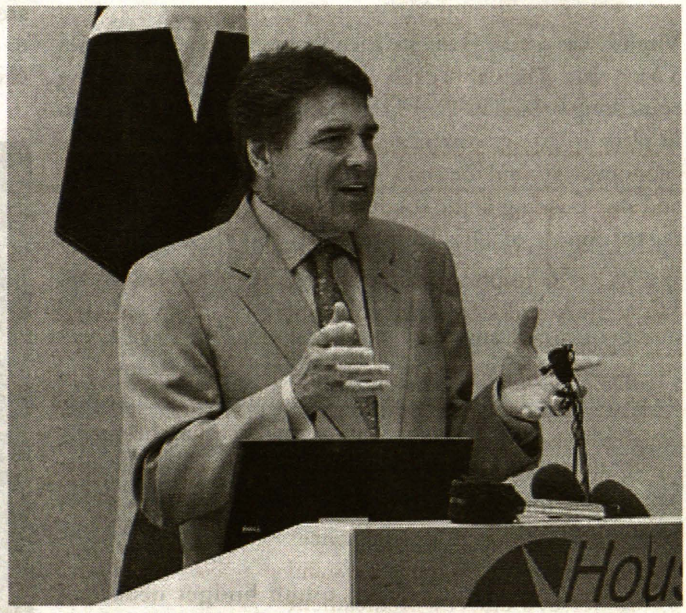
In West Virginia, the economy has stabilized and the employment outlook has improved dramatically relative to the rest of the country. The economy is supposed to grow over the next five years.

And what of the three states that replaced them?

Why are they so bad? I don't even want to go in to Michigan's problems. They're obviously very well documented and the outlook is very bad. Rhode Island has a lot of problems. The tax situation is awful for business. People are fleeing the state. The only state that has worse net migration is Louisiana, and they had Katrina. The regulatory environment is one of the worst in the country. Across the board, it's a tough picture. Wisconsin has one of the worst incentive environments in the country, the job picture is projected to be second worst over the next five years [after Michigan].

You also note that the three states at the bottom of the list in 2008 all had first-term governors. How important are governors in determining the business conditions in their state? What are the challenges that first term governors face in bringing business to their states?

I think first-term governors today are facing very different challenges than those from two years ago. The ones today probably want to attract new businesses, but they probably also have five other problems that are more important to deal with. Governors span the range in terms of how involved they get in marketing their state's business climate. I think a governor can be a state's biggest cheerleader and needs to be out there selling the state. They are the face of the state for the business climate. They need to be front and center, pounding their fists and selling the case for why their state really is the best place for investment.



Governor Rick Perry (R-Texas) speaks in July 2009 about the Emerging Technology Fund, an incentives program designed to attract high-tech jobs and businesses to Texas. Badenhausen argues that governors can be a state's biggest cheerleader and play a crucial role in promoting business investment. (Flickr)

Any governors that you think have done a particular good job?

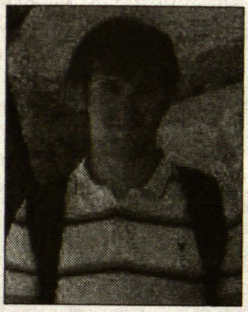
He might partly be blessed by his state's success, but I think Rick Perry in Texas has been trumpeting Texas as a great for business. Tim Kaine in Virginia as well. Though they have a lot to back them up. It's easy for them to do it because they have a lot of good points to sell about their states.

Any projections for the list in 2010?

Absolutely none. It's hugely dependent on the economy, and there's a lot to unfold between today and 12 months from now.

Worms in the Garden State

The Politics Behind New Jersey's Financial Crisis



By Adam Hirst

Adam Hirst is a senior political science major in Branford College.

New Jersey's policies are often labeled as "liberal" but this moniker removes blame from responsible parties. Democrats and Republicans, governors and state legislators, liberals and conservatives, Democratic Party bosses and Republican financiers, politicians from as far north as Hudson County and as far south Cape May have contributed to this crisis. All are culpable. By failing to make tough decisions regarding state finances, public officials only delayed a crisis that could not be avoided. The economic downturn was simply the impetus that pushed state finances into disarray. We cannot understand New Jersey's current predicament without an appreciation for the failure of its political institutions.

> *"New Jersey's tale of economic woe can be summed up in one fateful word: cowardice."*

New Jersey is a microcosm of the United States. The Northern and Central thirds of the state are comprised of large, urban centers and surrounding suburbs. The Southern third of the state is more rural, with farmers and large tracts of land. The ethnic and religious populations of the state correlate to those of the country, though with a larger Jewish population and a smaller Hispanic population. The state's industries—shipping, farming, and corporate—are as varied as the nation's as a whole. Political identification within the state is closer to national averages than most states, despite the impression people have of New Jersey as decidedly Democratic.

Similarly, the political alignments reflect larger trends. The New Jersey Democratic Party has traditionally been supported by public sector unions, wealthy lawyers and large cities, whereas the New Jersey Republican Party has as its base business leaders and conservatives. Middle class suburbanites tend to be more independent and represent an important swing vote. Both parties are more "liberal" than their respective parties in most states, but the Republican Party still attempts to portray itself as conservative whereas the Democratic Party still attempts to portray itself as liberal.

The political discourse within New Jersey is as shabby as that on the national stage. The lack of civility in our nation's town hall meetings on health care seems downright homey compared to political arguments at diners along Route 22. The corruption and ineffectiveness of Washington's legislators is surpassed by those in the Trenton statehouse. And the nasty, ad hominem campaign tactics make national elections look like student council races.

Unsurprisingly, these problems within the political discourse has made it difficult for the two parties to work together. This lack of balance has lead those in power to embrace the most extreme particulars of their agenda.

Again, these problems mirror those that exist on the national level. In Washington, it appears that most Republican senators will oppose President Obama's plans for health care reform, regardless of the details of the legislation. The Democrats, under the previous administration, similarly opposed President Bush on issues which they would have likely supported if the President had been a member of their own party—the expansion of Medicare during Bush's first term comes to mind. With parties unable to deal effectively with one another and important votes being cast on a strictly partisan basis, sheer politics replaces rigorous deliberation as the means of passing legislation and tawdry political maneuvering passes for responsible governance.

Both parties, though working to advance divergent agendas, have approached the mechanisms for advancing this agenda in a similar vein. This has compounded the problem. On the

New Jersey Governor Jon Corzine addressing the public prior to signing the Bloodborne Disease Harm Reduction Act on May 31, 2007. Governor Jon Corzine is in the political fight of his life against Republican candidate Chris Christie.
(DPA Network/Flickr)

national level, both parties have increased the power of the federal government through increased federal expenditure. Both parties have increased the power of the executive branch in relation to the legislative and judicial branches. And both parties have failed to re-establish balance after the other party's overreach.

The institutional problems that have paralyzed federal government have plagued New Jersey's. When considering the link between New Jersey's policies and its current crisis, it is helpful to have in mind the institutions of the nation as a whole. It not only provides a framework within which to consider New Jersey's problems, but also allows us to think of solutions for its problems and the problems of the nation as a whole. Political scientists looking to solve our nation's fiscal challenges ought to look to New Jersey as a "laboratory of democracy" within which experimentation ought occur.

New Jersey's tale of economic woe can be summed up in one fateful word: cowardice. And that word can best be applied and is most relevant when discussing the recent occupants of Drumthwakect, the governor's mansion. One dimension is the cowardice to not oppose entrenched political interests. Jim Florio, Democratic governor from 1990 to 1994, contrary to campaign pledges, raised taxes in order to forgo making tough budgetary decisions; Governor Whitman, Republican governor from 1994 to 2001, failed to challenge the benefit structure of public sector union employees despite huge popularity during her two terms.

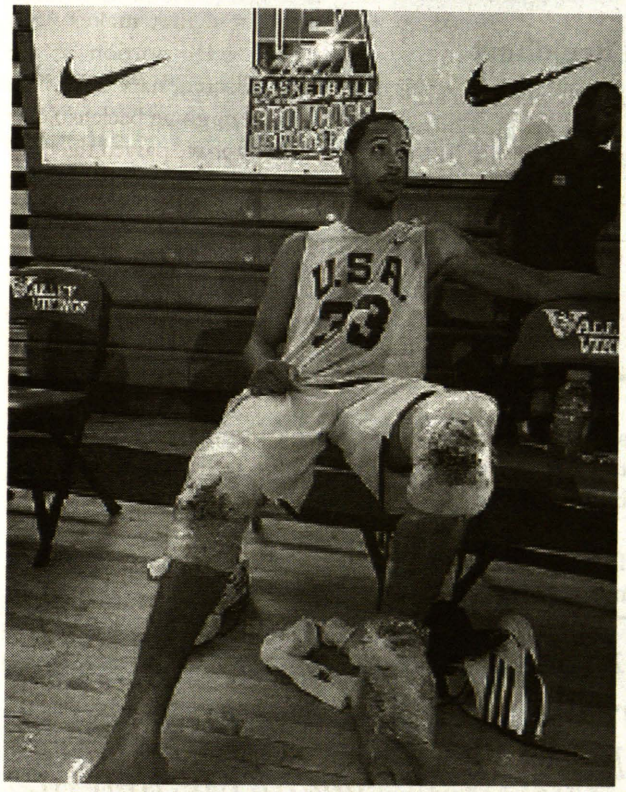
The cognitive dissonance which has allowed New Jersey's chief executive to ignore the interests that have bankrupted the state ought to be studied in future political science or psychology courses.

Similarly is the cowardice to not deal with the soon-to-be bankrupt pension system that makes up a large and growing portion of the state's non-discretionary spending. Administrations going back as far as the early 1980s have passed the buck on dealing with pension reform and, perhaps more noteworthy, have not been honest about the true costs of the pensions. For example, a budget presented by a governor takes into account the yearly cost of a paying a teacher. That teacher earns X dollars a year. In addition he is given Y in benefits and Z for coaching the high school basketball team. The cost of that teacher to the state, according to budget, is X+Y+Z. But, what this fails to take into account, and what all New Jerseyeans have now begun to realize, is that that number does not reflect the true cost of that teacher, for it fails to take into account the money put into that teacher's retirement pension. And yet, neither the New Jersey Assembly nor the Governor's office has discussed ways of dealing with these unfunded obligations other than continuing to raise taxes.

> *"If the recent history of the state is any indication, electoral choices are unlikely to translate into fiscal responsibility."*

The money stated in the budget and debated by the state's legislators has not been handled any better. The waste in the federal budget could fund a proposal to purchase the Nets and keep them playing basketball in New Jersey. Yet Mikhail Prokhorov, a Russian businessman, recently purchased the team for $200 million and plans to move them from East Rutherford, New Jersey to Brooklyn. As it stands, the 2009 state budget was a proposed $29 billion, which includes tax increases, runs at a deficit and still hasn't developed any mechanism to deal with ballooning health care, retirement or education costs.

Politicians have attempted to expand out of the problem. That is, in a Keynesian model, they sought to have the state government spend more money in order to boost the economy. The problem is that each year there are more retirees and thus more expenses. If a Keynesian model would have been effective



Devin Harris of the New Jersey Nets. There has been talk of the New Jersey Nets moving to Brooklyn since 2004. Now it looks like a done deal. (Flickr)

at dealing with the problems of the state at a previous time, that it is no longer the case. The gap between state revenue and expenditures has grown too large.

Not that New Jersey has not raised taxes to pay for its growing expenses. It has the second highest property taxes in the country, but the state with the highest property taxes, Texas, doesn't have an income tax. Property tax reform has long been a talking point of political campaigns, yet little has been done to lower this regressive tax.

The recent sales tax/rebate was a recent example of a band-aid solution that didn't address the high taxes in the first place. And, as soon as state spending got tight, the state —under Governor Jon Corzine—no longer wanted to help property tax owners.

Perhaps the most obnoxious part of this whole crisis is that the economics of New Jersey have actually pretty good. New Jersey has been in a low inflationary period for more than thirty years; the economic benefits of being situated near two metropolises has remained relatively constant, and the citizens of the state have the second highest per-capita income in the entire country.

In short, New Jersey government has a lack of fiscal responsibility that I would attribute to the cowardice of its elected officials. They have been content to implement state fixes that are temporary and only kick the can ahead without solving (or in most cases) even addressing the problems. Democrats and Republicans have raised taxes and deferred more of the costs rather than spending less.

That the financial crisis has brought to the fore problems inherent in the system. If not this financial crisis, the impetus for New Jersey's current economic problems would have been something else sometime soon. That New Jersey had not suffered larger problems in the past is a testament to the ability of the state's politicians to pass the problems onto to next generation. Bravo!

It's impossible to predict the political ramifications of these budgetary improprieties. If a political calamity on the scale of New Jersey occurred at the national level, one could expect to see the incumbent executive out of power and the majority party in the legislature lose seats. That may still happen in New Jersey. After all, both Democrats and Republicans have at one time or another toasted to their party's victories in banquet halls of Drumthwakect. Chris Christie, the Republican candidate for governor, might unseat Governor Corzine. The Democrats might lose some seats in the Legislature—though probably not their majority. The New Jersey government might look different.

But so what? If the recent history of the state is any indication, electoral choices are unlikely to translate into fiscal responsibility. So then the question must be asked: What is to be done?

PROUD TO BE
OF SERVICE TO THE
YALE COMMUNITY

Turley Publications, Inc.

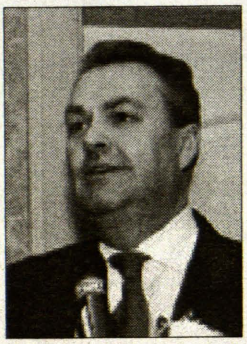
- Electronic Pre-Press
- Newspapers
- High Quality Sheetfed Publications
- Bindery & Mailing Services

UNMATCHED CUSTOMER SERVICE

Call Peter Howard
1.800.824.6548
24 Water Street
Palmer, MA 01069

Connecticut's Budget Crisis

An Interview with James Amann



Conducted by Samuel Breidbart

James Amann is a candidate in Connecticut's 2010 gubernatorial race. From 1990 until 2008, he served in the Connecticut House of Representatives and was Speaker of the House from 2005 through 2008.

Connecticut finally has a budget even if it doesn't bear the signature of Governor Rell. But it seems like the debate hasn't stopped—the General Assembly is in session right now to try to fill holes in funding. So, are you happy you aren't in Hartford anymore?

You know, that's almost a mixed bag. I certainly remember I left because I promised I was only going to run two terms as speaker. I really think it's better for the process. So I'm happy I kept my word. But there's the other half of me that's very competitive and believes in my heart that if I was there, things may have gone—I won't say a lot—but a little better than what we saw this year.

> *"It's amazing that a billion dollars here and a billion dollars there has not really resonated with the residents of the state."*

Yet you've pointed out on a number of occasions that you don't think it's the General Assembly's fault that they have to deal with this mess. Have they worsened it? Do you approve of the job Speaker Chris Donovan is doing?

Chris and I are very good friends. He was my majority leader when I was speaker and we had a great working relationship. It's easy for people to sit and criticize the speaker or even some aspects of the governor. But we have to always remember that we inherited this problem, we didn't create it. It's difficult for all of them. I have a different style than Chris—not necessarily better or worse. But that competitive spirit leads me to believe that because I have had so much experience with budgets and dealing with the governor that it would have been a better year.

So how would you advise the General Assembly? On October 1, the Comptroller's office announced that after compiling first quarter tax revenues, they have seen a significant drop-off in revenue from the state income tax. Their report projected a $500 million deficit in the budget by the end of the fiscal year as a result.

I think we all know that we're not out of this mess—on a national level and on a state level. It looks like we're going to be dealing with another difficult year next year and probably into 2011. So if there's any suggestion I would make if I was to be asked by the speaker, I would say: "conquer it quickly." Right now you have a half billion problem, try to nip it in the bud before it becomes a billion dollar problem. But I think we were prepared for this in 2007. We asked for a millionaire tax back then because we were predicting that revenues were going to be dropping off. Governor Rell vetoed it. Now it's back, but we haven't seen any results from the new tax. We would've had a lot more revenue to play with right now if it had been there all along.

Ultimately, as you have said, this all goes back to job growth. Connecticut is going on 20 years without seeing any net job growth. How can you explain that and how do you envision fixing that?

You look at 18 years without a Democratic governor—I think that's part of the problem. It's amazing to me that we have so many Republicans that always talk about job creation and job stimulation. You figure that they would have been leaders in creating these opportunities. Unfortunately, Governor Weicker was dealing with his own political mess when he committed to the people that he wouldn't give them a new income tax and then gave them one. So he had to fight that battle for a few

years instead of concentrating on job growth. Governor Rowland's corruption and self-destructive mode of governing certainly didn't help. And then Governor Rell misses five out of six of the governors' conventions where you're there to market your state and try to get new jobs to come here. It's been a dismal failure of the last three governors.

And you did quite a bit of work to open up new sectors of the economy as Speaker. What were some of your successes and how are those sectors fairing now?

Well, the only true stimulus is job creation. One way I proved that: film and digital media. We achieved job creation through credits in two sectors that attract young people form other states to come here, that keep young people here who are looking to do this and be in this industry in the long term, and that pay high salaries. Digital media is the future of communications and we are right on the forefront of that. As far as film goes, three new studios were built including, a $90 million one in South Windsor, we've picked up three TV shows, and we have had 93 movies shot here since 2006. Thousands of jobs have been created and it has been a complete success.

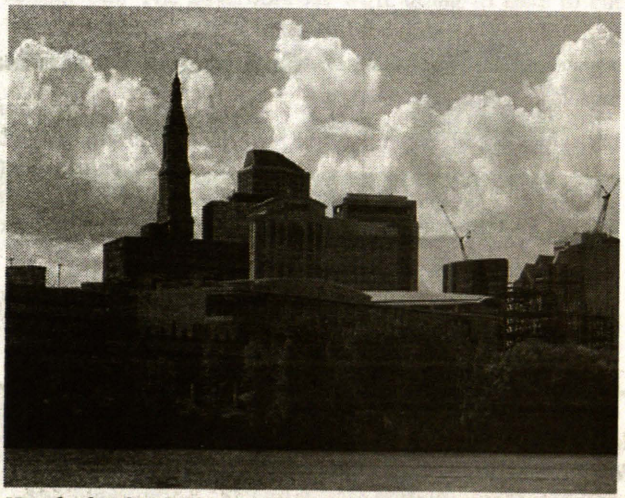
And yet you've come under criticism for exactly that program in a report by Connecticut Voices for Children, which argues that the credits function as a subsidy for out-of-state workers. How do you respond to that?

If you looked at their arguments, they took one part out of a 12-part study, but never quoted the study's section on film. If you go to that section, you'll see that the statistics for what we spend inside Connecticut were significant, and when I told the representative of Connecticut Voices for Children that on TV, she finally admitted it. When Blue Sky Studios, an animating company, moved to Greenwich from New York, they were going to initially hire 300 workers. They're now at 400 and have outgrown their space already. First off, they're paying a $10 million a year lease. But do you think that those 400 people are not buying cars and homes and spending money here? It was a totally bogus report in my opinion.

So how do we replicate that program? Where do you see room for funding job growth in the future?

Health care is one place. The "Baby Boomers" are starting to age and we're going to need more services and more health care. We have a shortage of nurses in the state so we should be going—and as governor I would do this—to the universities in state and out of state and telling nurses to come to Connecticut. We should be offering a tuition break and eventually a housing break. We're going to need to motivate people to come here with some sort of incentives. The same goes with our growing fuel cell industry as we create more green jobs.

The Department of Education came out with a report on September 30 that accused Connecticut of using stimulus funding designated for education to instead plug budget holes. In your view, how effectively has the governor spent the stimulus money?



Hartford -- for the past year, the site of one of the longest budget stand-offs in Connecticut's history. A budget went into law without the Governor's signature in early September, though legislators are still debating matters of budget implementation. (Flickr/J. Stephen Conn)

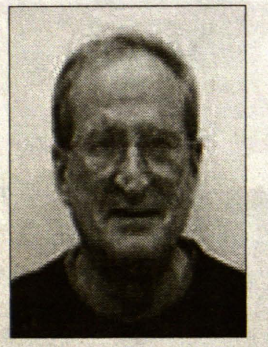
It doesn't surprise me that she's just trying to patch holes in the tank before everything explodes. To understand the governor's attitude here we can go back a few years. One of the most difficult things I've had to deal with was her stance on state bonding money. She opposed investing in infrastructure for example, saying she was increasing the state's savings. This while the Democrats were screaming on the top of their lungs that improved infrastructure required $15 billion and at least 20 years. We started working on it my first year as speaker in 2005, but the governor only put $1 billion on the table. Now we're faced with the same problem, except that the prices of steel, rubber, and paving material skyrocketed in the past couple of years, especially when gasoline prices went up. It costs us more now. Even her own economists—conservative economists—were telling her to invest back then. When we sat down in November 2008, before the stimulus, they said the main way to utilize funding was in infrastructure, education, and social services. She did absolutely everything the opposite.

Now we have top officials like Vice President Joe Biden coming to the state to talk about some stimulus projects. So clearly the money is being spent.

Yes, but beyond that kind of promotion, I haven't seen the governor take a lead role in explaining where this money is being spent. And I think the problem of our budget is so bad, it's amazing that a billion dollars here and a billion dollars there has not really resonated with the residents of the state.

The Governors as Innovators

An Interview with Thad Beyle



Conducted By Lindsay Dow

Thad L. Beyle is the Thomas J. Pearsall Professor of Political Science at the University of North Carolina. He was chairman of the Board of the North Carolina Center for Public Policy Research from 1980-89 and served as Chairman of the Board of the North Carolina Institute of Political Leadership, 1995-97.

In the 1980s, you developed a five-point rating system for gubernatorial power to help track these "waves of reform." How, in your experience, does a severe dip in the economy affect a governor's strength?

A severe dip in the economy effects the governors in a very difficult way. A lot of the services that people feel as citizens of the state, education, highways, welfare and so forth are tied to the state. When there's an economic downturn, a lot of people feel very badly about what's going on and governors begin to feel the brunt of that. The president can say things are getting better or we're not as bad as you think and so forth, but the governors are the ones who have to make some very terrible decisions. Thus, what we're seeing now is that governors' approval ratings have dropped off quite a bit.

> *"In 2010, we're going to have a lot of governors' races, and a lot of the governors seeking reelection are going to be suffering."*

The depth of the economic crisis and the span of state budget shortfalls have left many asking what can state governments due to fix their economies. One of the key issues is balancing the budget. What role do governors play in the budget-making process?

Well, that's one of the powers that governors have been getting more and more control over during the last few decades. The point is do you have enough money coming in to meet the needs that you see the state is facing. And that is what is the problem right now because the needs are going up so fast and the people's ability to make money and pay taxes has decreased. They're not spending money and they're not making money. So, it really puts a lot of pressure on the governors when people want better things but state governments can't afford to do it. People hear governors talking and running about, but in the end the people suffering have to blame somebody.

Governors and legislatures don't always cooperate, especially when the legislature and executive are controlled by different political parties. However, you write in your article, "The Governor as Innovator," that "specific reforms have given governors a better chance to gain control of the state's policy process." What are these reforms?

Among the reforms are greater powers to plan and coordinate projects, such as putting the budget together and then carrying it out. Instead of having more people controlling things you have power being consolidating within the office of the governor. But so the basic question gets back to in a situation we are in now. Even though the governor has more control and he/she can do more with the money at hand, the problem is that there's no money. Especially if you are in a state like we are: North Carolina. Because of the tremendous number of people moving into the state, there is a greater need for more schools and more teachers. But we cannot afford them.

What is a governor's biggest fear when making decisions about budget cuts?

You have several problems. While they have to make the budget cuts, they may very well be cutting things that are needed.

A cut of 5 percent or 10 percent across the board means cutting into schools. It means cutting into all sorts of things that no matter how you face it, how you look at it, you are still going to be hurting a lot of different people. What about going into the budget and getting rid of all the stuff we don't need? Then you run into all the people who want to keep their jobs and all the interest groups that want to keep their pet programs. It's thus very hard to get rid of some things. It's very, very difficult. If you finally say, "I don't give a damn, we're just going to have to do this and move ahead," then maybe you'll will be able to do something. But you are going to create some real problems.

Balancing the budget is only one part of resolving state economic crises. You write in your article, "The Governor as Innovator in the Federal System," that "undertaking innovative approaches and bragging about them has become a way of political life for governors." How are governors innovating within the context of the current economic crisis?

One of the innovations is trying to cut costs. In some cases governors are saying we need to cut the number of people who are being overpaid for their jobs. In our state, North Carolina, they are examining the university systems and finding that there are a lot of people hired in administrative jobs that are not necessarily teaching. Those individuals are being paid an awful lot of money and they go through too many channels. In our state, they are saying we've got to cut back on how many people we have in major administrative positions and that means, in some cases, consolidating a range of things. I've heard some stories in some places where a particular sort of thing has four, five, six, seven, eight agencies focusing on it, rather than having a particular agency focusing on the situation.

What, in your opinion, are some of the best decisions made by governors during this crisis? What have been the worst decisions?

That's tough. Well, from the governors' point of view the worst are obviously making decisions that they know they have to make but are going to hurt them politically. In other words, they say, "We're just going to have to raise taxes. I know people can't pay more taxes, but we're going to have to raise taxes because we just don't have enough money coming in." So that's a tough decision. On the other hand, if governors don't want to raise taxes they have to cut, and cut as much as they can. The governors say we're going to have to cut here, cut there. And the heres and the theres affect different people, different groups and different interests in many ways. And when you start cutting, you make people angry. Where is that? We just had that?

Terry Sanford celebrates a political victory with his wife. Beyle presents Sanford as an example of an innovative governor in hard economic times. Sanford preempted the national "War on Poverty" by introducing education reforms in his state. (Duke University Archives/Flickr)

While governors can take innovative measures in developing states policies, they can also take innovative measures in what they do with federal funds. How do you see this happening?

That's right. That's right. They can try to focus on that, and some of the innovators work outside the normal lines and try to bring things together in a different way and bring new focuses to things. I worked with Terry Sanford here in North Carolina and he came into a state that was not doing very well. We did have research on how what measures we should take, but we still had a lot of racial problems. Terry Sanford really developed a precursor to the war on poverty. He went after poverty in the state, directly attacked education. And through his work in education he's become known as a great innovator. Some of that he did by going outside of government and get

-ting foundations to put money into different things. And once they got some things going they could go to the government to support some of the programs they had got going. And in some cases governors will use their innovative skills to get some of their major industries to rethink what they're doing and to move things in certain directions.

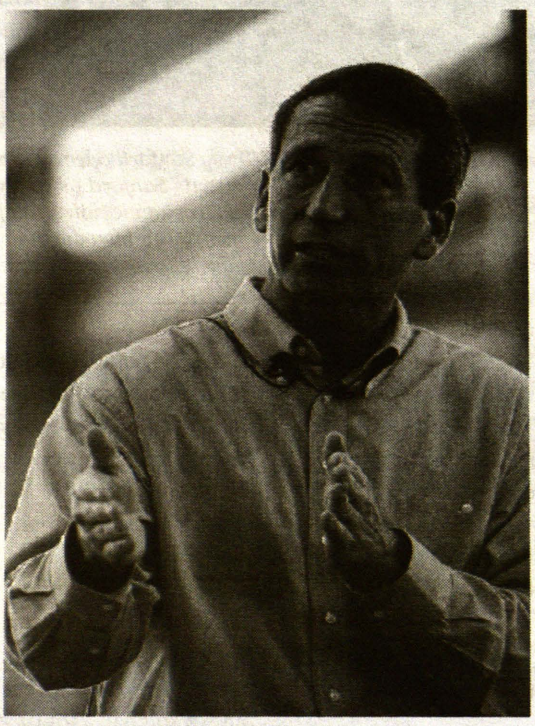
> *"[Good governance is] linked to not having any standards, not doing something dumb, and not using the office to further your own life."*

We've talked a lot about what governors can do to resolve state economic crises, but not so much about what makes a good governor. What is gubernatorial performance linked to?

It's linked to not having any standards, not doing something dumb, and not using the office to further your own life (i.e. pursuing what you want out of life or helping somebody close to you). You know, feathering your nest and so forth. And not making decisions that will help your family rather than people in general. Not ducking the problems. I can point out a couple of governors who've got problems. One is Mark Sanford, in South Carolina, and the problem that he went off to Argentina with a woman, but not his wife.

How would you evaluate the decision by a number of governors to not fully accept federal stimulus funds?

I don't think that's a good idea. I think most of the people need to call on their governors to wake up because we need the stimulus package to get things going in our state. But the governors who've turned this down are evidently very conservative and they don't want to take federal money. They think big money's not good and all that sort of stuff. This causes all sorts of problems. Of course the other side is some places have been getting too much stimulus money because they've been very clever in how they've done it.



Governor Mark Sanford on Jobs and Growth Tour in 2003. Beyle contrasted Terry Sanford's innovativeness as governor with the "misconduct" of other governors like Governor Sanford. (South Carolina Governor's Office)

Do you see any long term impacts of this financial crisis on the strength and role of governors?

I think it will hurt governors because we've got two governors' races in 2009: Virginia and New Jersey. The Virginia governor can't run again, so there's a new governor coming in. But in New Jersey, the governor is in trouble. In 2010, we're going to have a lot of governors' races, and a lot of the governors seeking reelection are going to be suffering from the events that occurred during their rule, and they're going to be reaping the negatives. People will say, "We were doing pretty well before governor X came in, and all hell's broke lose now." We've seen the same change in President Obama's popularity ratings. People are starting to blame him instead of former President George W. Bush and what he did or did not do.

Do you think, in the long run, we are going to see not just changes for these specific governors but changes in the role of governors in general due to this financial crisis?

I don't know that we'll see that. The trend has generally been to provide more powers to the governors, and that's a three, four, five decade-long trend. There may be a few things to be done, but I don't think anybody's really going to advocate going back to cutting their terms to just single terms where they can only serve for two years or only serve for four years. We used to have quite a few governors who could only serve for two years and they were running all the time. We also have people who think government should be run more like a big organization, like a business, and, well, you may or may not like businesses but you have to have a chief executive who can run things. People have kind of bought that. The other thing is there are people, say, in the legislature who think that governors just have too damn much power and that we need to take some of that power away. So there might be some moves to try to remove some powers from the governor.

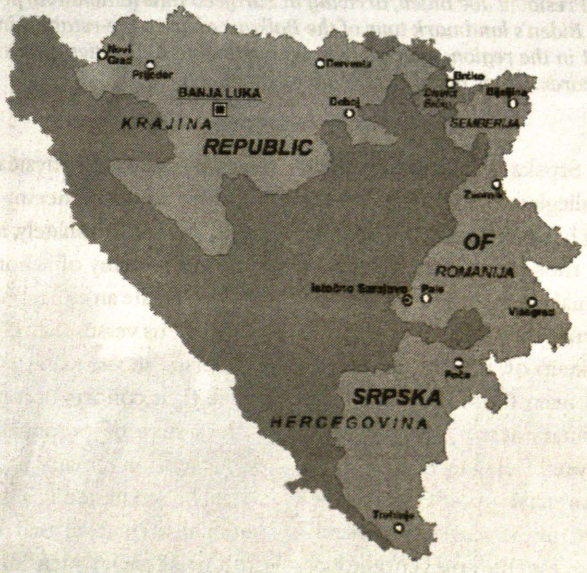
One Country, Three Nations, On the Brink

By Hannah Kieschnick

Hannah Kieschnick is a junior in Morse College. A History major, she spent this past summer taking courses in Dubrovnik, Croatia, through Yale Summer Session.

To pass through Bosnia and Herzegovina is to pass through a bruised country on the brink. Traveling back from a three-day trip to Sarajevo during the Yale Summer Session in Dubrovnik, Croatia, we waited in a long string of buses and cars at the border patrol stop, passports in hand. At long last, a guard boarded our bus and worked his way down the aisle of drowsy students, checking our identifications. We were waved through. We were on our way back to our beachside oasis, the mortar shell damage barely visible in the Old City just fifteen years after the war.

Or so we thought. Ten minutes later, we came to a stop, joining another throng of cars waiting to pass through a border stop. We would go through these border stops many more times on our way back to Dubrovnik as we crossed the two political entities that divide Bosnia and Herzegovina—the Republika Srpska and the Federation of Bosnia and Herzegovina, sometimes with just five minutes separating the borders.



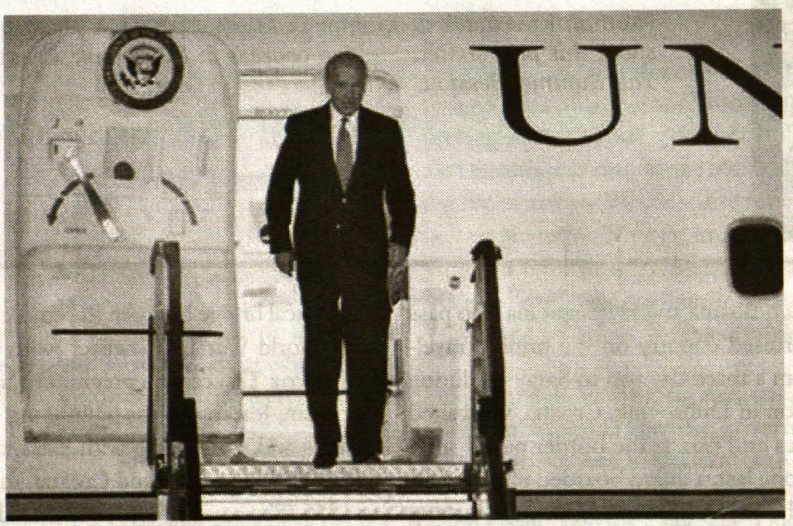
Bosnia and Herzegovina is separated into two political entities: the Federation of Bosnia and Herzegovina and the Republika Srpska. The map above illustrates this division, with Republika Srpska controlling the northern and eastern part of the country. (wikicommons)

Bosnia and Herzegovina was not always this divided. A state of three ethnic nations—the Bosniaks (Bosnian Muslims), Bosnian Orthodox Serbs, and Bosnian Catholic Croats—these ethnicities lived somewhat harmoniously under the former Yugoslavia, in which communism forced an ideological bridge between the ethnic divisions that remained after World War II. However, with the death of Comrade Josip Broz Tito came a precipitous increase in extremist nationalism, leading to the splintering of those three integral nations and, combining with external pressure and military presence from Serbia and Croatia, the Bosnian War of 1992 to 1995. The country exploded into all-out violence in March 1992, its social fabric ripped apart by these contending nationalistic ethnic factions. Although it has been over a decade since the Bosnian War ended, the country is still in a state of semi-disarray, broken and stagnant without hope for reconciliation in the absence of concerted foreign influence.

Foreign intervention in the Balkans has been a mixed blessing, however. An arms embargo passed by the United Nations Security Council in 1991 gave an extreme advantage to the Serbian aggressors—both from Serbia and within Bosnia—and weakened the Bosniaks' chances of obtaining adequate weapons with which to defend themselves and their towns. Bosniaks in Sarajevo were forced to buy arms on the black market, often from their Serbian attackers themselves. As Serbian shelling increased in Sarajevo, foreign presence increased and NATO sent more peacekeeping troops to the chaotic country. These

forces did not arrive without controversy. Perhaps the most infamous massacre of the Bosnian War is the Srebenica Massacre in which 8000 Bosniak men and children were wiped out as Dutch NATO forces looked on, helplessly following their orders to stay removed from the fighting unless their personal safety was threatened.

The Dayton Peace Accords—the most significant foreign contribution to the Bosnian war effort—tried to erase the memories of massacres like Srebenica. Signed in the fall of 1995 in Ohio, the Accords officially ended the three-and-a-half year war characterized by a violence and ethnic hatred most thought had been left behind in the 1940s. Central to the agreement was the division of Bosnia and Herzegovina into two political entities—Republika Srpska and the Federation of Bosnia and Herzegovina—each with its own political and ethnic loyalties and motivations. Republika Srpska is majority Bosnian Serb and thus holds its greatest allegiances to Serbia. On the other hand, the Federation is split between Croat and Bosniak control, though in many places, those who incited violence in the early '90s against the Bosniaks remain in power today and continue to perpetuate ethnic divisions. It is difficult to estimate the exact ethnic makeup of Bosnia and Herzegovina as no official census has been taken since 1991 due to obvious complications of military action, refugee crises, and population relocations. Nevertheless, according to the U.S. State Department, Bosniaks make up 48.3 percent of the population, Serbs 34 percent, and Croats 15.4 percent.



U.S. Vice President Joe Biden, arriving at Sarajevo International Airport on May 19, 2009. Biden's landmark tour of the Balkans aimed at re-establishing U.S. engagement in the region, which has faced continuing difficulties after the Dayton Peace Accords. (Elvis Barukcic/Creative Commons)

The Accords are problematic in that they prevent the healing that is necessary for the country to reconcile and move forward. Each governing entity is loyal to external governments—namely Serbia and Croatia—that have historically harbored ambitions of conquest in Bosnia. By dividing the country indefinitely, the Accords force Bosnia and Herzegovina to be forever fragile and weak, a partial nation without a unified identity. Most importantly, the Accords reinforce the ethnic divisions that characterized the Bosnian War in the first place, thus suggesting that they are merely postponing another ethnic conflict, having solved nothing. How can a nation heal itself emotionally and psychologically if physically and politically it remains in shambles?

The education system is perhaps most evocative of the ethnic divisions that remain in Bosnia. In Stolac—a little town in the Federation of Bosnia and Herzegovina—students of different ethnicities are taught from completely opposing curriculums and use separate textbooks. Bosnian Croats are taught that their state is not Bosnia and Herzegovina but rather Croatia and that their capital is Zagreb—the capital of Croatia—rather than Sarajevo. Many of these Bosnian Croats even hold Croatian passports and vote in Croatian elections. The seeds of hatred are planted early in the Bosnian education system. Bosniak children attend school in the afternoon and enter through a back door, whereas Bosnian Croats study in the morning and use the front door. By creating a physical divide at such a young age, those in power are guaranteeing ethnic conflict for generations to come. And unfortunately, it is advantageous for the politicians in power— many of whom are familiar faces from the early 90s—to create an atmosphere of ethnic tension and fear and a sense of "us versus them." With fear-mongering tactics, these politicians secure votes from fearful ethnicities who refuse to see their cohorts become a minority in the government.

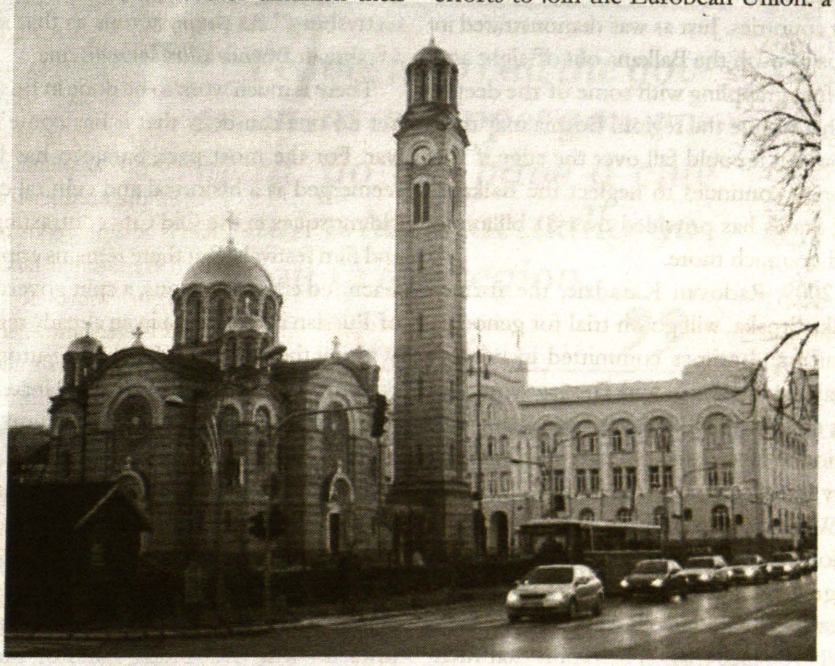
In a state of perpetual separation, it is no wonder that ethnic tension remains a way of life for many Bosnians. Such a state of separation guarantees the extension of the extreme, nationalist rhetoric that led to ethnic violence in the 90s. And by allowing such human rights violations to continue, both governments—the Federation and Republika—validate ethnic hatred and ensure that their respective ministates will remain as figureheads for Serbia and Croatia.

Some believe that inciting ethnic hatred is exactly what these governments aim to do. Milorad Dodik, the Prime Minister of Republika Srpska, has consistently used nationalistic rhetoric and repeated his goal of independence for the Republic. Increasingly, the international community has become aware of these threats (that no longer seem so empty, given

Dodik's strong ties to both Russia and Serbia) and has characterized Bosnia as "on the brink." Although this characterization is nebulous, if anything, Republika Srpska's hypothetical secession could lead Bosnia into a resumption of armed conflict.

Given the prevalence of tension and separation, one might wonder whether constitutional independence for both entities would in fact be better for Bosnia. This is not the case. According to history professor Ivo Banac, "Fragile union is better than perpetual war." While it is clear that the Dayton Peace Accords validated separation and gave legitimacy to ethnic tension, Republika Srpska's breaking away would, as Banac said, "legitimate ethnic cleansing elsewhere" because previously, the land was majority Bosniak whereas that community was wiped out during the War. Similarly problematic would be the hypothetical situation of Serbia absorbing Repulika Srpska and Croatia absorbing the Federation. Such annexations would gloss over the most important detail—the presence of the Bosniaks and their consistent persecution throughout the 20th century. They are the inheritors of that land, and thus Banac is accurate in suggesting that any political move that would further diminish their rights as Bosnians would legitimize the ethnic cleansing of the '90s. Merely separating the two political entities might assuage the complaints of both Bosnian Serbs and Croats but would silence the Bosniaks and their legitimate claim to the nation. Thus the Dayton Peace Accords need to be amended and gradually phased out, rather than shattered, in order to respect the integrity of all ethnicities involved.

> *"The seeds of hatred are planted early in the Bosnian education system."*



A church in Banja Luka. The city, which used to have a Muslim-majority population, is now the capital of Serbian-dominated Republika Srpska. (Creative Commons)

The United States was a key figure in the negotiations of the Dayton Peace Accords. Some, including Banac and Jasmina Besirevic-Regan (who is from Banja Luka), suggest that the United States inadvertently helped the Serbs by stopping the Bosnian-Croat offensive of August 1995 that would have retaken Banja Luka, a former majority-Muslim city that is now the capital of Republika Srpska. Regardless of this specific blame, the United States does bear a particular burden in the calamity of the Dayton Peace Accords. U.S. airstrikes against Bosnian Serbs, following a change in U.S. policy to intervene rather than just observe, led the various parties involved directly to the negotiating table in Ohio. And it was American diplomat Richard Holbrooke (now the U.S. Special Representative for Afghanistan and Pakistan) who designed the Accords and dealt directly with the leaders of the Bosnian Serbs, Croats, and Bosniaks.

The process of amending past errors has already begun. In late May of this year, Vice President Joe Biden visited Sarajevo, Banja Luca, and Stolac. In a speech delivered to Bosnian lawmakers, Biden was clear in his purpose. "The choice is yours," he said in reference to the use of nationalist rhetoric that characterizes Bosnian politics, "If you make the right choice, we will stand with you." Biden also stressed the importance of ethnic unity in order to improve the unstable Bosnian economy and make headway in the country's efforts to join the European Union, a goal that is impeded by Bosnia's status as a country fundamentally divided along ethnic lines. In order to meet requirements for successful EU and NATO bids, Bosnia needs to enact a great deal of reforms—socially, politically, and economically. Although not yet a member, Bosnia is closely watched by the EU. The EU Office of the High Representative, currently held by Austrian Valentin Inzko, retains a great deal of power left over from the Dayton Accords. This unchecked authority has the power to dismiss local officials and set policy if he deems it necessary for the welfare and safety of the country. Although officially supposed to close on June 30, 2008, the life of the OHR was

extended indefinitely as Bosnia has not made the progress deemed necessary to stand alone without the presence of the international viceroy.

The international community does not want to have an indefinite presence, however, and thus cannot be satisfied with merely maintaining the Bosnian status quo as is. Vice President Biden emphasized that Bosnia needs to take the steps to overcome internal divisions and become a contributing member of the international system. Biden's message was clear: the United States is willing and able to help Bosnia if the country signals that it is also willing to move beyond the tension of the 90s and unify politically.

> *"Bosnia has a staggering fourteen governments, three prime ministers, and two political entities. There is an apparent lack of civil society because there is no central political livelihood or cohesion"*

But rhetoric is not enough. Just as words failed to stop the ethnic cleansing that occurred during the Bosnian War—former President Clinton publicly condemned the genocide for months before actually taking peace-keeping and then punitive action—words will not suffice now. And it is dangerous that the Balkans remain so low on the list of international priorities for so many countries. Just as was demonstrated in the 90s, it is dangerous to push the Balkans out of sight and out of mind without first grappling with some of the deeply ingrained problems that plague the region. Bosnia may only be on "the brink" now but it could fall over the edge if the international community continues to neglect the Balkans. Although the United States has provided over $1 billion in aid, it can and should do much more.

On October 19, 2009, Radovan Karadzic, the former President of Republika Srpska, will go on trial for genocide committed in Srebenica and crimes committed in twenty-seven other municipalities in Bosnia and Herzegovina. Yet this is fourteen years after the fact. He has been living in a high-end prison cell in the Hague for the past year awaiting trial while his country wrestles with a staggering 47 percent unemployment rate. While he used the high speed internet in his holding cell and joked around with other Hague prisoners, children were segregated and taught to hate their peers and love another country. There have been questions as to whether Karadzic will even face trial, as he claims that Richard Holbrooke, the architect of the Dayton Peace Accords, promised him immunity from prosecution if he distanced himself from Bosnian politics.

While the Dayton Peace Accords might have been effective in bringing about the end of a bloody war, they cannot remain in place. As long as they stand, Bosnia and Herzegovina is stuck with an ineffective, bureaucratically bogged-down government that is a vivid and daily reminder of the ethnic tensions that started the war in the first place. The Accords were supposed to lay the foundation for a transition to a pluralistic democracy in which all three ethnic groups were represented fairly. Instead, they have merely solidified the harsh divisions and guaranteed that the scars of the Bosnian War will not fade any time soon. Bosnia and Herzegovina has a staggering fourteen governments, thirteen prime ministers, and two political entities. It has a tripartite president that rotates between the ethnicities every year, for three years. There is an apparent lack of civil society because there is no centralized political livelihood or cohesion. Banac provides a helpful hypothetical to understand the ineffectual nature of Dayton: "This is as if some outside power froze the American situation of the 1860s in such a fashion as to insure a role for the Confederacy in the postwar settlement, along with the partition line that emerged after Gettysburg." As preposterous as that situation sounds, it is a reality in Bosnia and Herzegovina.

There is much work to be done in Bosnia and Herzegovina. Yet no one can deny that it has come a long way since the war. For the most part, Sarajevo has been rebuilt and has reemerged as a historical and cultural center with centuries-old mosques in the Old City contrasting contemporary rock and film festivals. But there remains crippling unemployment, fractured ethnic relations, a split government, and the threat of Russian involvement in an already renegade political entity. Without the prospect of U.S. and European intervention and diplomatic pressure, Bosnia and Herzegovina's sections will never reunite. Without reconciliation, the country cannot move forward and the suppression of the Bosniaks will be forever legitimized, a dangerous precedent to set. It will remain stagnated and split, limping along as it has been for the past fourteen years, stuck between two countries that would be more than happy to absorb Bosnia into their borders. But Bosnia and Herzegovina can resist that dour fate if it looks inward—with the guiding hand of the United States—and remembers that it's not just a state of three nations, but a single state. And that it must live as one rather than two.

The Long Road in Afghanistan

An interview with Said Tayeb Jawad

Conducted by Gabriel Perlman

Said Tayeb Jawad is Afghanistan's Ambassador to the United States. Jawad was educated at the Afghan French Lycée Esteqial and School of Law and Political Sciences at Kabul University and later at Westfälische Wilhelms University in Münster, Germany. He returned to Afghanistan after 9/11 to assist in the state-building process, where he served as President Hamid Karzai's Press Secretary, Chief of Staff, and Director of the Office of International Relations. Jawad also serves as Afghanistan's non-resident Ambassador to Mexico, Brazil, Colombia, and Argentina.

How are things going in Afghanistan right now?

We are facing security challenges in Afghanistan due to the fact that we don't have enough international troops on the ground and the Afghan security forces are not adequate. But, overall, the country, compared to what it was seven or eight years ago is going in the right direction. It has very much improved in areas of education, health care, and building democratic institutions, such as the parliament. The number of applicants to universities has increased. But the issue right now is terrorism, which is in no way an issue confined to Afghanistan. It is a regional and global trend. And we still have to face many challenges to overcome terrorism.

> *"People who call the government a 'puppet government' do not have a clue about what's actually going on in the region."*

With an overall 30 percent voter turnout and a new president elected by a mere 56 percent of the popular vote, how well will what some middle- and working-class Afghans call the "puppet government" be able to face the challenges that lie ahead?

People who call the government a "puppet government" do not have a clue about what's actually going on in the region. The government has been elected twice democratically. There are 41 countries in support of the government. To think that it's the puppet of 41 countries in the world is simply not credible. The government is part of the partnership of both the world and the Afghan people to overcome terrorism. So they don't have any idea about the history of Afghanistan nor about what's currently happening when they call it a "puppet government." This thinking is typical among people who really have little information about the country. The government was voted with the consensus of the international community and twice elected by the vote of the Afghan people.

The government is a partner with the rest of the world to overcome the challenges of security, government, and economic development. So if the government by itself could do this job, there would be no need for the rest of the world to deal with Afghanistan. The rest of the world is there because the capacity of the government and the resources of the government are still limited. That is why we are talking about this partnership. That is why I mentioned the 41 supporting countries. There are also 76 countries that are providing financial support as well. So this is a very difficult job indeed that cannot be done overnight. As we know, everyone in the world since 9/11 has been fighting against terrorism. But still we see incidents of terrorism in Afghanistan, in the wider region, and all over the world. That does not mean that we've failed. We have made a lot of progress. But there is still a lot to face.

What was actually happening during the election? Is there truth behind the allegations of fraud?

We have been working hard in Afghanistan to get to the bottom of these allegations. For the past three years we have worked toward fairer elections in Afghanistan. I personally have asked everybody I know to go Afghanistan as an electoral observer. We have had 7,000 observers, Afghan and

international alike. A lot of resources were expended to help train these observers to make sure they knew what they were doing. But you're looking at the elections of a country that has suffered for many, many years. So it was in no way a normal condition under which these elections were carried out. If we have large numbers of Afghans going out in hordes to elect their leader, there is always a cost. It's better that a leader be elected than simply appointed without the will of the people at all, in whatever turnout. In all democracies not everyone has the desire to go out to vote. So it is a limited process, but one that's much better to have than none at all. How can we have completely free elections when the Taliban threatens to cut people's fingers off if they vote? Those threats remain in the hearts and minds of everyday Afghans and of course end up having a huge influence on voter turnout. That's the situation on the ground that Afghans deal with each day.

United States military personal meeting with village elders in a town near Forward Operating Base Lane, Zabul, Afghanistan, in March 2009. (Adam Mancini/Creative Commons)

How can we improve the lives of Afghan people? What measures have been implemented to help improve civilian infrastructure in the region?

The country was destroyed drastically as far as roads, schools, clinics, delivery of services, and rule of law are concerned. But we have made a lot of progress. Today, trips within the country that used to take thirty hours now only take five. But we have not been able to reconnect the entire country. We have not been able to deliver quality education to people all over the country. We have built thousands of schools, but we need to equally improve the quality to provide for more training and job opportunities. Today the main priorities involve developing agriculture and electricity—something that the Afghan people all over lack. This is the future of Afghanistan. One reason that the people are disappointed is the widespread poverty. And we have to give them hope; we have to give them jobs.

With a sudden increase in Taliban attacks and the growth of its propaganda machine, should America negotiate with the Taliban? And how far has the Taliban been influencing the lives of everyday Afghans?

What the Taliban has done is victimize and terrorize the people. It is not as though the Taliban is in any competition with the international community and the government to provide for Afghans. These really are power-seeking individuals who terrorize and brutalize the people. The way to counter this is on the one hand to ensure that the international community and the Afghan government are able to protect themselves. It is not so much that the Taliban are getting strong. The abilities of the Afghan government and the international communities are limited. People are not sure they can get the protection they need from the government and international forces because there are not enough troops and resources to really protect people.

How do you see the future of Afghanistan's drug trade in politics, given that the president's brother and right-hand-man, Ahmad Wali Karzai, is an alleged participant in an industry that represents a third of the country's economy?

First, keep in mind that in the areas where the Afghan government is present and has control there is no drug trade. There are 23 provinces in Afghanistan that are drug-free. Sixty percent of drug production and capital is produced in the Helmand province where more than 7000 brave British soldiers are fighting to make it secure. There are still many challenges. The allegation that the president's brother is politically motivated by the drug trade is false. If there were any evidence, I'm sure by now after many years, from the many countries and intelligence agencies involved, they would have come forward with evidence. If they do come forward with evidence, then the president is fully committed to take action. In the light of the elections, it's all too easy for political elites to come up with these allegations. People have searched for proof, but there is none.

To what extent will the new government fight corruption in Afghanistan, which, according to an index from Transparency International, has slipped to 176th out of 200 countries in corruption?

We should consider where Afghanistan started. One must consider the tyrannical practices of the Taliban that preceded the state that we have today. We are facing a brutal enemy. Eight years after 9/11 we still understand that terrorists remain active here and in Europe. Afghanistan has been doing a wonderful job. We have prevented many attacks. Fighting corruption is of course a priority of the government of Afghanistan. We have arrested more than 600 people so far, and have prosecuted more than 370 high-ranking officials. Now there are police officers in those regions where twenty years ago there was next to nothing when the government system fell apart in Afghanistan.

We do still need to build the necessary institutions. It's one thing to come up with allegations and another to truly establish a system to make sure that these injustices are reasonably dealt with. The government is fully committed to that. Low levels of corruption do persist in the provinces. But it's the corruption among high-ranking officials that the government has prioritized. And they have done a good job with it. It is a complicated situation.

There is a problem of governance—there is a problem of materials—this is therefore a deeply complicated region. But it is impossible to target one region among many like Iran and Pakistan that suffer similar problems. Government instability is caused by a combination of many factors, corruption being but one of them.

What should we be focusing on to defeat the insurgency?

In the short term there is a need to increase the number of the international forces; in the long term, the sustainable solution is to build up the capacity of the Afghan army and police force, as well as the institutions and capabilities of the government. But in order for these three steps to take place there needs to be an increased security force on the part of the allies in the U.S. and Europe.

> *"There needs to be an increased security force on the part of the allies in the U.S. and Europe."*

What is Obama's next step? Should America take heed of General McChrystal's recent report and bring in more troops, or engage in more long-term, less costly counter-terrorist measures to combat al-Qaeda?

We should learn from history when the U.S. decided to target al-Qaeda bases within Afghanistan to control weapons flows since 9/11. There is no way to fight an enemy like al-Qaeda or the Taliban just at those bases. There is definitely a need to improve counter-insurgency confidence and increase the number of troops to better combat counter-terrorist activities.

Do you believe Afghanistan is now the focal point of American foreign policy? If so, how will the U.S.'s shift of focus from Iraq affect the restructuring of Afghanistan?

President Obama has made Afghanistan a priority and we hope that the Afghan people will place faith in the Afghan government—which is a prerequisite to our success in the region. There are challenges, but both the Unites States and the Afghan people can overcome them. We need to speak

A U.S. Army Staff Sergeant speaks to a village leader about security in Barge Matal in Nuristan province, Afghanistan, Aug. 19, 2009, before the Afghan national elections. U.S. troops provided security in the area to support the Afghan-run event. (Christopher Allison/Creative Commons)

clearly about our choices to succeed because if the Taliban returns to Afghanistan or to the region, we know exactly what will happen to security, stability, and peace not only in Afghanistan but in the world at large.

How is Iran's foreign policy affecting the dynamics of the region?

There is a lot more cooperation in the region. Afghanistan and Pakistan cooperate a lot more, and the civilian government of Pakistan is proving to be a much more valuable partner. There are changes in the region that could be capitalized upon to increase regional stability and target the insurgent and terrorist groups in both Afghanistan and Pakistan in a more decisive way.

Iran has many common interests in the stability of Afghanistan, including extremism in al-Qaeda, and in narcotics, but of course there are also concerns about the presence of U.S. and NATO forces, which have worked with Iran to build upon common ground to combat extremism and narcotics. Both Afghanistan and Iran, as well as the United States, would be better off if the rivalries between Tehran and Washington left Afghanistan. It would be costly both for Afghans and for our partnership if those sentiments were to persist.

The increase in troops should enable the U.S. and NATO to search more easily for the Taliban on the ground, while maintaining a visible presence in the towns, which is regarded as vital in showing the population that the forces can protect them. "We have to stay in Afghanistan politically and economically," said Obama recently, "but at the same time we must not make the war against the Taliban our central preoccupation, thereby giving them the opportunity to label us the way the Soviets became labeled, as enemies of Afghans." (Creative Commons)

Does the Iran problem pose a threat to the U.S.'s focus on Afghanistan?

By and large, I don't think that America's relationship with Iran or with Iraq and its relationship with Afghanistan conflict with one another. There is much common ground to be built upon.

Do you foresee friendly relations between the two states after the U.S.'s departure?

Of course. Overall the Afghan people have demanded the continuation of this relationship and friendly partnership for many years to come. The American presence in the region is but one component of a lasting friendship.

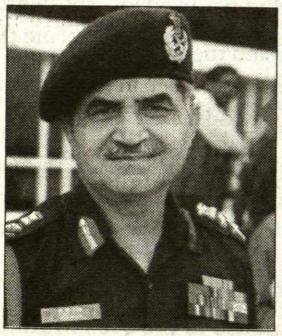
In which direction do you hope to see Afghanistan going?

Afghanistan is very much going in the right direction. This is the direction that the Afghan people support. We see this when the Afghan people are taking the chance to send their children to schools, to participate in the political process, to educate themselves.

They are taking advantage of these new opportunities to make a difference in their lives. What we have offered them, they have taken with gratitude, everywhere in Afghanistan. If we still have terrorist activities remaining and surrounding countries not committed to the internal stability of Afghanistan, then we will continue to suffer the challenges which we are facing now. Otherwise, if we preserve the Afghan National Army and Police Force, the country will be on its own feet very soon, within five to seven years at most.

Securing a Subcontinent

An interview with Ved Prakash Malik



Conducted by Tom Stipanov

General V.P. Malik served as Chief of Staff of the Indian Army from 1997 to 2000, and Chairman of the Chiefs of Staff Committee from 1999 to 2000. During this time, he oversaw Operation Vijay, the Indian military operation against Pakistan during the 1999 Kargil War, which expelled Pakistani forces from the Kargil region of Kashmir. General Malik has authored a number of works related to Indian foreign policy, most notably Kargil: From Surprise to Victory, *an account of the 1999 war.*

How has the nuclearization of India and Pakistan stabilized or destabilized South Asia?

Nuclearization of China, India and Pakistan has created a 'stability-instability paradox' situation. The military balance is stable at the level of all-out nuclear and conventional war; it has become less stable at lower levels of violence. The likelihood of a full-scale war stands reduced, while the possibility of proxy war (through terrorists) or limited war and skirmishes with regular troops along disputed borders appears to have increased.

Earlier, proxy war and terrorism, which could lead to a limited or full-scale conventional war, were not viewed as part of the spectrum of conflict. The Kargil war and the Indo-Pakistan military standoff in 2001-02 have shown that proxy war and terrorism must be included in the 'spectrum of conflict' between two nations.

Indian howitzers fire during the Kargil War, an armed conflict between India and Pakistan, fought in the Kargil district of Kashmir in May, June, and July of 1999. General Malik led the Indian forces in the conflict. (Creative Commons)

What lessons did the Indian security establishment learn from the Kargil conflict?

There are a number of important strategic lessons that have emerged from the Kargil war.

1) There are smaller chances of full-scale nuclear or conventional war between two nuclear weapon states. But as long as there were territory-related disputes, the adversary may indulge in a proxy war leading to a conventional war or a limited border war.

2) Loss of territory is unacceptable to the public or political authority in India. This is a strategic handicap and a risk in a conventional-war setting, which increases in a limited-war scenario. It implies greater attention to surveillance and close defense of the borders or lines of controls.

3) The successful outcome of a border war depends on the ability to react rapidly to an evolving crisis. The military would be expected to react quickly in order to localize, freeze, and reverse the situation, arrest the deterioration, enhance deterrence, and prevent escalation on the ground.

4) A war may remain limited because of credible deterrence or escalation dominance, when a side has overwhelming military superiority at every level. The other side will then be deterred from using conventional or nuclear war due to the ability of the first to wage a war with much greater chances of success.

5) A limited conventional war will require close political oversight and politico-civil

-military interaction. It is essential to keep the military leadership within the security and strategic decision-making loop. 6) Mobilizing and sustaining domestic and international support for military operations would depend on righteous action and the ability to operate in a manner that conforms to political legitimacy, for example the avoidance of civilian and military casualties and the minimization of collateral damage. 7) Information operations are important due to the growing transparency of the battlefield. The political component of military operations—namely retaining the moral high ground and denying it to the adversary—requires a comprehensive media and information campaign.

What do you believe has been the greatest impediment to improved India-Pakistan relations?

Indo-Pakistan relations have made little progress primarily due to Pakistan's physical and moral support for anti-India cross-border terrorism in the past and, willingly or unwillingly, not being able to stop terrorist outfits using Pakistani soil to carry out terrorists acts like the Mumbai incident on November 26, 2008.

"Indo-Pakistan relations at present remain hostage to cross-border terrorism launched from bases in Pakistan."

How has Pakistan state sponsorship of different Kashmiri militant outfits changed since the Kargil conflict or since the 2001 World Trade Center and Indian Parliament attacks?

On account of global condemnation of terrorism, UN Security Council, and SAARC resolutions on counter-terrorism, and Indo-Pakistan bilateral talks wherein Pakistan has promised that it would not allow its territory (including Occupied Kashmir) to carry out terrorism activities in India, the Pakistani government has taken to public denial of terrorist acts in India. As a result, the number of such incidents has decreased. However, as Mumbai and incidents elsewhere have shown, Pakistani territory and terrorists continue to be used for planning and launching terrorism in India. The sophistication and violent intensity of such incidents has risen considerably.

What tools does the Indian security establishment have to confront the terrorist threat emanating from Pakistan? In light of the longstanding counterinsurgency in Kashmir, the Kargil Conflict, the 2001-2002 border crises, and the response to the 2008 Mumbai attacks, which of these tools have proven the most successful?

On the domestic front, the Indian government has fenced its border with Pakistan and improved its surveillance, improved intelligence capabilities and coordination, given greater teeth to its investigation agencies, and is in the process of improving the rest of the state machinery and procedures to tackle counter-terrorism. It has engaged the Pakistani government more intensely on the counter-terrorism issue bilaterally and multilaterally. After the Mumbai incident, substantial evidence has been given to Pakistan to legally prosecute the perpetrators.

These measures will prove effective only when the Pakistani government bans and takes action against anti-India terror outfits like the Lashkar-e-Tayyiba and Jaish-e-Mohammad, and removes their training camps, planning, and logistic infrastructure from its soil, and takes legal action against their leaders.

Does the more moderate response to the 2008 Mumbai attacks by both India and Pakistan (compared to 2001 for instance) signal a shift in their relations?

I do not believe so. There was, and continues to be, very strong public condemnation of the Indian government's response to counter-terrorism during and after the Mumbai incident.

In the Mumbai incident, the government of India may have reacted more moderately. But its public mandate on the progress of Indo-Pakistan relations has been narrowed and restricted. And as we know, public perceptions in a democracy are very important.

Could you comment on Pakistan's recent offensive against the Taliban and what implications this has for India-Pakistan relations?

Though belated, the Pakistani Army offensive against Taliban is in the best interest of Pakistan and the rest of the world. India expects that Pakistan should take similar strong action against jihadi terror groups who plan and launch cross-border operations against India. This is not visible so far.

Indo-Pakistan relations at present remain hostage to cross-border terrorism launched from bases in Pakistan.

The Engine of India

Balancing Democracy and Geopolitics in South Asia

By Liv Dowling

Liv Dowling is a junior in Berkeley College. A Political Science major, she spent this past summer living in Jaipur, India.

As someone who spends her time walking around Yale's campus of soaring Gothic spires and Georgian structures of perfect symmetry, perhaps it should come as no surprise that I would find the architecture of Indian homes somewhat tacky. These ubiquitous cement buildings, which appear capable of withstanding a nuclear blast, are constructed with no concern for symmetry or theme. Under an alcove of Roman columns, for instance, you are just as likely to find a personal Hindu shrine as a collection of Mexican pottery. Each floor (and these homes can be up to five stories tall) is laden with garish, wrought-iron terraces dripping with freshly-laundered salwar-kameezes. Indian homes are all about communicating status and splendor.

A rally of the Indian National Congress in Delhi. Nationalism and pride in democratic institutions are on the upswing in India, which is projected to surpass China as the world's most populous nation within 25 years. (wikicommons)

But their most jarring quality is not the pervasive use of marble or the signs outside that list only the male members of the household, but their state of incompletion. It is incredibly common to see a shell of cement walls and scaffolding balanced atop an Indian home, each floor completed as the family changes and grows. In this way, Indians today are much like the homes they reside in: sturdy, exuberant, and feverishly constructing an incomplete vision of their future.

India's massive population necessitates that homes grow up, not out. Jaipur, the city in which I lived and studied this past summer, is roughly the size of Houston, making it only the eleventh largest city in India. Possessing 45 cities with populaces numbering over one million, India will surpass China in population by 2035 at 1.6 billion people. This population deluge is largely the result of rising wealth and family-planning failures, which has kept India's population young while China's population quickly ages.

This means India is bursting at the seams with human capital—young, talented, English-speaking professionals who, as Mumbai native and Yale alumnus, Fareed Zakaria, put it, "speak globalization fluently." The sheer density of people in cities like Jaipur makes labor incredibly specialized and remarkably efficient. When I visited a floral shop, for example, one man took my money, another chose the flowers from a massive basket,

still another strung the flowers, and a final man wrapped the competed garland in banana leaves.

In India, there are always more people than jobs, making ingenuity an all-important factor in the Indian economy. Unlike China, the Indian government cannot simply mold society into a hospitable environment for international business. Rather, the Indian private sector has been forced to make conditions hospitable for business without governmental assistance; this often means wading through a corrupt and complex bureaucracy and bypassing weaknesses in the country's infrastructure in order to make a buck. Today, major Indian multinational companies like Tata Group, Infosys, Ranbaxy, and Reliance are expanding outside of India, often by buying off struggling European and American companies. In March 2008, for example, Tata Motors took control of Jaguar and Land Rover production from Ford, pushing the Indian company into the spotlight of the global auto industry. Tata Motors, a company previously known for its bulky and colorful cargo trucks emblazoned with such slogans as "I love my Hindustan" and "Horn please!" is now assembling the sleek luxury cars of Europe and America.

"A strong U.S.-India alliance, along with support from Japan, Singapore, and Australia, would put up an impressive front against any future Chinese aggression."

By overcoming both convention and government, Indian businesses have found a way to flourish. India's democracy plays a critical function in the country's recent success as well. An established system of elections and parliamentary institutions, an independent judiciary, and increasing bureaucratic transparency provide a stable foundation for economic and social growth. Even global businesses, Zakaria points out, could not thrive without a regulated stock market and financial system. Additionally, India's government has been quietly deregulating many sectors of the economy, creating new opportunities for India's burgeoning middle class. But the story of democratic development has always been a troubled one. New Delhi politicians are much like American politicians in the sense that patronage, populism, and privileges still play a major role in deciding which groups receive resources and which groups are consistently neglected. The growing number of regional and interest-based political parties in Indian politics today, however, is counteracting this tradition. In America, our lack of legitimate third-party political options is often seen as a fault of our two-party system. This is not the case in India, where the current ruling coalition, the United Progressive Alliance (UPA), consists of seventeen different parties, with some parties contributing only one or two parliamentary seats. The old adage that "in India you don't cast your vote, you vote your caste" no longer rings entirely true. Today, the spectrum of interests has expanded beyond caste, moving into the spheres of religion, regional concerns, business considerations, and ideology. In some cases, unlikely alliances have formed between groups with diverging interests, as Mayawati's Bahujan Samaj Party demonstrated in 2007 by uniting members of the Brahmin caste with the party's Dalit (Untouchable) political base. The most recent Indian national election in May of last year resulted in the second consecutive victory for the UPA coalition, another indication that the current national policies of secularism and global economic integration will continue into the next few years.

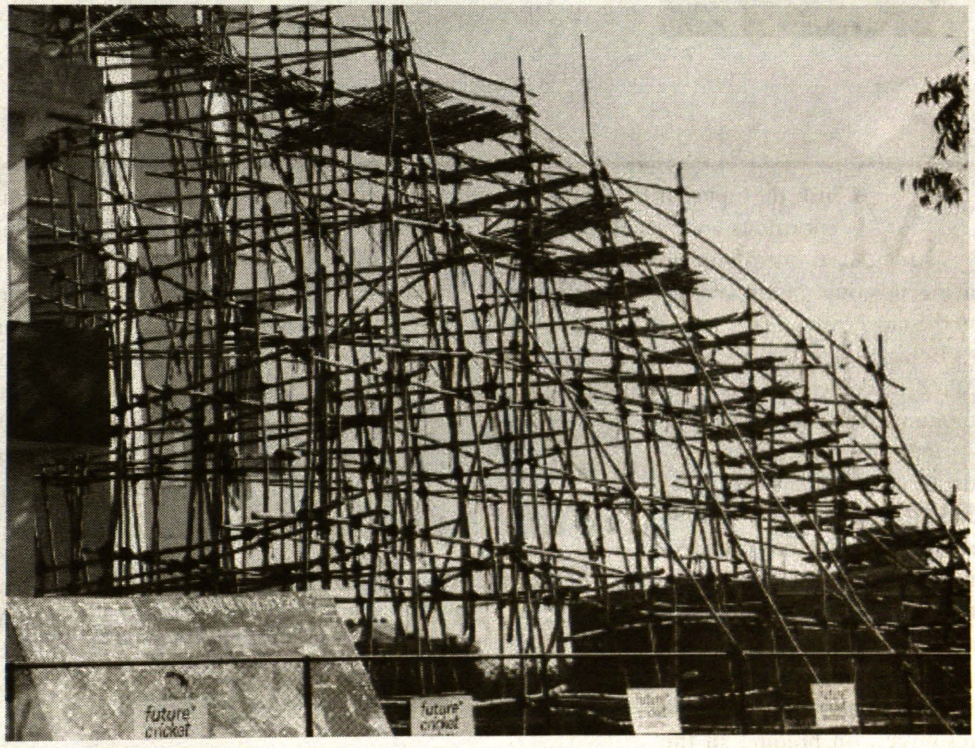
While coalition politics makes sense for a society as diverse as India, it can make policy formation and implementation exceptionally difficult. For all of India's recent economic successes, for example, key indicators of social development lag far behind. Forty percent of the world's poor and the second-largest HIV-positive population reside within India's borders. Half of the female population is illiterate and female infanticide is common, particularly in the northern part of the country. Nearly sixty years after the abolition of caste discrimination, divisions of caste and class are still readily evident. The country's internal problems, the Indian government has stated, necessitate that India alleviate its own situation before looking to advancement on the world stage. But can the world wait for India to put its house in order?

In terms of economic capacity and foreign investment, India is unlikely to challenge China in the near future. However, it has become increasingly clear that in arena of geopolitical strategy, certain roles can only be played by India. In recent years, for example, the doctrine of democracy promotion has taken on an air of idealism with the rhetoric of the Bush era. India may be one of only a handful of countries with the ability to promote democracy with sincerity, not condescension. In 2005, India co-founded the United Nations Democracy Fund and has donated $20 million since its inception. Simply by virtue of its sixty-year democratic history, India offers a rare example in the developing world of a politically open society in a region beset by military coups and authoritarian regimes. India, whether it decides to actively promote democratization or not, offers South Asia a reachable example of democracy in a diverse and often polarized society.

Militarily, India may play a crucial role as a counterweight to China. Since 1995, the U.S. and Indian militaries have conducted 13 exercises between their respective armies, navies, and air forces. Most recently, India participated in a

oint naval exercise with the U.S., Japan, Singapore, and Australia. In the forests of Mizoram, Indian soldiers trained their American counterparts in anti-insurgency techniques, in which the Indian army is well versed due to its involvement in Kashmir. Diplomatically, India's growing status on the world stage was demonstrated in a 2008 nuclear non-proliferation and energy cooperation treaty between the U.S. and India. The treaty makes India the only country outside the Nuclear Proliferation Treaty countries with the legal authority to conduct nuclear commerce with the rest of world, essentially putting India on par with the original nuclear club of the U.S., Britain, France, Russia, and China.

Lastly, it may surprise some that India has largely remained a pro-American nation. Even during the Bush administration when global approval of America appeared to be slipping, India retained high approval numbers for the U.S. at 71 percent. A growing cultural exchange, led by the Indian Diaspora, is further enriching relations between the two countries. At cinema halls in Jaipur, the most popular movies this summer were Harry Potter and a half-dozen Bollywood blockbusters set in such familiar locales as New York City, Los Angeles, and San Francisco.



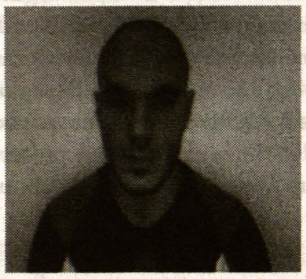
Scaffolding in Jaipur, India. With approximately 2.3 million inhabitants, Jaipur is only the eleventh largest city in the country. Building projects in Jaipur and other Indian urban areas have skyrocketed in recent years. (Creative Commons)

What do all these positive indicators mean for India's relations with America? Strategically, a strong U.S.-India alliance, along with support from Japan, Singapore, and Australia, would put up an impressive front against any future Chinese aggression, whether political, territorial, or economic. It should also not be overlooked that a special relationship between the world's largest and strongest democracies would be invaluable to the United States's future in Asia. However, it remains to be seen whether India will allow itself to be shuffled into a new geopolitical order in Asia—or whether it will turn its focus inward to address its continuing political and social problems.

Shashi Tharoor, an Indian scholar and recently elected member of the Indian Parliament, said in a speech at Stanford University: "Anything I tell you about India today, the opposite is also true." Indeed, in a country as vast and diverse as India, defining what it means to be Indian has never been an easy endeavor. However, the belief in India's future greatness seems to be increasing its hold over the national psyche. The Akshardham temple on the banks of the Yamuna River in New Delhi is the largest Hindu temple complex in the world. Set up almost like a Hindu-version of Disney World, this vast religious site comes complete with animatronic robot shows, a boat ride through Indian history, a Bellagio-like musical fountain, and snack stands selling samosas and bhelpuri. In the waiting line for the boat ride, large posters bearing laudatory quotes from Western intellectuals about India's cultural superiority dot the walls, expounding on India's early leadership in the sciences and even its creation of democracy. An air of expectant nationalism hangs in the air over Akshardham, a feeling that India's global greatness is fast approaching after years of stagnation. Perhaps more important than naval exercises, nuclear deals, and economic statistics is how Indians actually view themselves today. Whether the government is ready or not, the Indian people's increasingly optimistic outlook on their future will push India into a prominent position on the world stage. The nation that broke free of an empire is finally breaking free of its own shackles, ready and willing for change.

The Last Dictatorship of Europe

Whispers of Democracy in Alexander Lukashenko's Belarus



By Riccardo Valsecchi

Riccardo Valsecchi is an Italian journalist and writer. He writes about travel and geopolitics, with particular attention to former Soviet states, and has devoted his career to freelance journalism in both Italian and international media. His most recent research focuses on Moldova, Transnistria, Latvia, and Belarus.

Minsk, the capital of Belarus, is a modern city with enormous and austere buildings, an efficient service of public transportation, low costs of living, no crime, fashionably dressed girls crowding the clubs in the city center.

Behind Oktyabrskaja Square, at the crossing with Karl Marx Street, between neo-classical palaces and architectonic monuments to the Soviet constructivism, there is the residence of President Alexander Lukashenko. Elected in 1994 and confirmed during presidential election of 2001 and 2006, the President has built a strong and powerful government around himself, based on the state monopoly of economic resources, on holding all the executive power in his hands, on media demagogy, as well as on repression of opposition. The Western media refers to him as "the last dictator of Europe," his supporters call him "bat'ka"—father—but the Belarussians prefer not to speak about him. As the 21-year-old Natalya confesses,"I'm afraid to talk about him."

> *"Control of every aspect of life is part of intimidation strategy. 'KGB' is still the name of the intelligence service of Belarus."*

Alexander Milinkevich was the presidential candidate of the opposition during the 2006 election. As the leader of the Movement for Freedom, which aims to reunite all the democratic forces in the country, he is the man in whom the Western politicians put their hopes to re-establish democracy in Belarus. Milinkevich says of his country and government, "The use of fear factor is normal in an authoritarian regime. Our government makes it simple: in Belarus we have no free market, everything is owned by the state, and people who think differently are fired. We came out of 60 years of the USSR where the fear factor was also very significant, but today it has gotten even worst than during the Perestroika period. At that time, even though the media were controlled by the Communist party, there still existed a possibility to meet, to talk freely, and there was something similar to free elections. Now, the members of the government as well as the members of Parliament are not elected but are 'nominated.' Fear and repression are two words that go together in the government's way of thinking. I myself was arrested only once, after a manifestation in remembrance of the Chernobyl's victims but other activists, as Mikhail Marynich and Yury Bandazhevsky—the first scientists working on the sanitary consequences of the Chernobyl disaster—were treated in an even worse way. Not to mention the threats to relatives: my sons, who are studying in Poland, cannot return to their home country because they have been charged of military desertion."

In a country that does not know the excess of richness or poverty, where the unemployment rate is under two percent, talking about politics, the economy, or society is forbidden. "In Belarus we do not have the freedom of speech," says A. Aliaksandrau, a spokesperson of the Belarussian Association of Journalists (BAJ): "slander against the government is punished as a criminal act. Moreover, all the press distribution systems are owned by the government which obviously refuses antigovernment publications."

Control of every aspect of life is part of intimidation strategy. "KGB" is still the name of the intelligence service of Belarus. "It's a fact here," explains Ales Lahviniec, the Movement for Freedom spokesperson, when we mention an

officer who followed us during our trip. Beatings and jail are the answers for those who speak up, who dare to rebel or to protest. On March 7, 2009, activist Yana Palyakova, imprisoned and brutalized by the police officers, killed herself because of violence she had suffered. The day before, six young men were detained in Minsk for possession of the European Union flag.

The regime's authority has strengthened despite dire conditions in rural Belarus. "In the villages," says the 23-year-old Olga, "where there is no phone, no electricity, no water supply, people think elections are a day for thanking the 'Father' who saved the country from the Western invasion. Only entertainment and fashion programs and, naturally, the president's speeches about the greatness of Hitler and Stalin are broadcasted on television. The audience seriously believes that our president is a world-respected figure, just being provoked by U.S. and EU spies for being such an independent thinker." And the opposition? "As the leader of the opposition," explains Mr. Milinkevich, "I have only 30 minutes every five years to talk on TV, and no way to have a public debate with the president. Fifteen years ago Mr. Lukashenko won the election simply with a television contest and this is why today he is so afraid to give me the same opportunity."

Members of the 'Affected by Mortgage' association demonstrate to denounce mortgage fraud and bank abuse. (LLUIS GENE/AFP/Getty Images)

"Foreign broadcasting is forbidden," continues Aliaksandrau. "Only Russian channels are allowed, which are no better than our own in terms of democracy. They promote a kind of 'Moscow centered' vision of the world, which is quite dangerous in a country that was under the USSR for more than 60 years."

Recently, the European Union has reopened a dialogue with the government of Belarus. Over 30,000 km of pipelines that run under this flat and marshy country, which provide one-third of the continent's energy resources, give Belarus a good reason to incorporate its economy into the mainstream European community. "The new opening dialogues with the EU could be a great opportunity for us to restore civilization, but I'm afraid that this will make Moscow very nervous and that means raising the price of gas," relates the leader of the opposition. Russian pressure seems indeed behind the sudden postponement of the meeting with Benita Ferrero-Waldner, the EU external relations commissioner, scheduled on March 13, 2009.

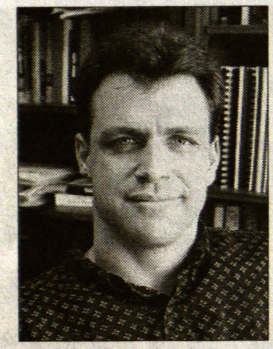
"First of all," adds the BAJ spokesperson, "Brussels has asked our government to give more space to democracy. However, there are no real changes in the new Media Law, approved in 17 February 2009, meaning, there are no changes in the media distribution system, no changes in the access to information, and none in the legislation. On the contrary, the authorities in their support of the international fight against terrorism are implementing a new amendment against extremism, which restricts the freedom of expression even more. Less than one month ago, Arche-Pachatak, a well known international magazine, was confiscated by the KGB for presumed extremist content."

And the future? What do people think about a European partnership? "The question stands: What does Europe know about us? We are born in a country that was very close to the Soviet Union. What is known about the USSR? Lenin, Stalin, not much more...We really are a European country, our history is European history, our culture is worldwide culture. We are part of the European family, we want to bring freedom by ourselves but we also expect solidarity with European friends," says Milinkevich.

"Europeans!" exclaims the forlorn Olga, "Do you really know what freedom is? Tomorrow you will leave. If you do not like a place, you will fly to another one. We have to stay, we cannot escape. You talk about solidarity, human rights, and freedom but refuse to recognize our degrees, work, and education. We are dealt with as secret immigrants in your free lands and rejected back into the oblivion of this country out of time!"

Playing Host to the World in South Africa

An Interview with Michael Mahoney



Conducted by Joey Mensah

Michael Mahoney is an associate professor in South African history at Yale University. Before coming to Yale in 2000, he taught at a number of institutions, including UCLA, the University of Natal in South Africa, UC Davis, UC San Diego, and most recently Franklin and Marshall.

Unemployment in South Africa has risen to a record 23.5 percent as the economy enters its first recession in over 17 years. Are things as bleak as these numbers suggest?

This is almost certainly a part of the aftermath of the current global economic crisis. Historically a counter cyclical economy, South Africa tends to perform surprisingly well when other economies are not. This has not been the case recently. Gold, which has long been the basis for the nation's prosperity, has spiked in value as of late, but it has not been enough to counteract the global effects of the recession. The current high price of the precious metal coupled with the stimulation from the 2010 World Cup, the negative impact of the recession has significantly reduced. The 23.5 percent comes from the South African government, but it is believed to be much worse—some say it is even as high as 40 percent. The situation is certainly dire but has been so for a while. Despite low employment levels, South Africa is still a contender on a global level.

> *"It goes without saying that there will be a spike and potential momentum that will carry on past the end of the World Cup."*

Apartheid still haunts the nation in multiple ways, especially in education. As black South African students fail to receive the attention they need and deserve, who is at fault?

Teacher accountability is a difficult issue everywhere. It is impossible to police every single person. A certain amount of responsibility should go to individual teachers, the union, and the South African government. There are a lot of schools located in areas that were formerly white during apartheid but are now predominantly black. These are called Model C schools; students there are excelling and passing nation-wide exams with ease. On the other hand, the students stuck in the townships and rural areas that are predominantly black are still subject to the sub-standard education that was established under apartheid. There is actually a fairly good education for South Africans in the 1950s that was mainly associated with the missionaries. The South African government took over these schools from the missionaries and "dumbed it down." As they saying goes, "Africans shouldn't be allowed to see these green pastures from which they will never be able to graze."

Is safety going to be an issue this summer?

It's always a bit of an issue. South Africa certainly does have very high crime rates, and things will happen. It has been pointed out many times this is by no means the first sporting event that the nation has hosted. International tournaments in soccer, rugby, and cricket have taken place there. As expected, the media will be quick to highlight stories that will about muggings, and potentially murder. This should essentially be just as safe as the tournament was in Germany three years ago. It's very hard to gauge the significance of the events that occur. In the context of the experience of the vast majority of people, I think things will be fine.

Jacob Zuma, only the fourth president to be elected in post-apartheid South Africa, has been in office for a little over four months. He rose to prominence by promising

wage increases and increased jobs. How would you assess his post-honeymoon performance?

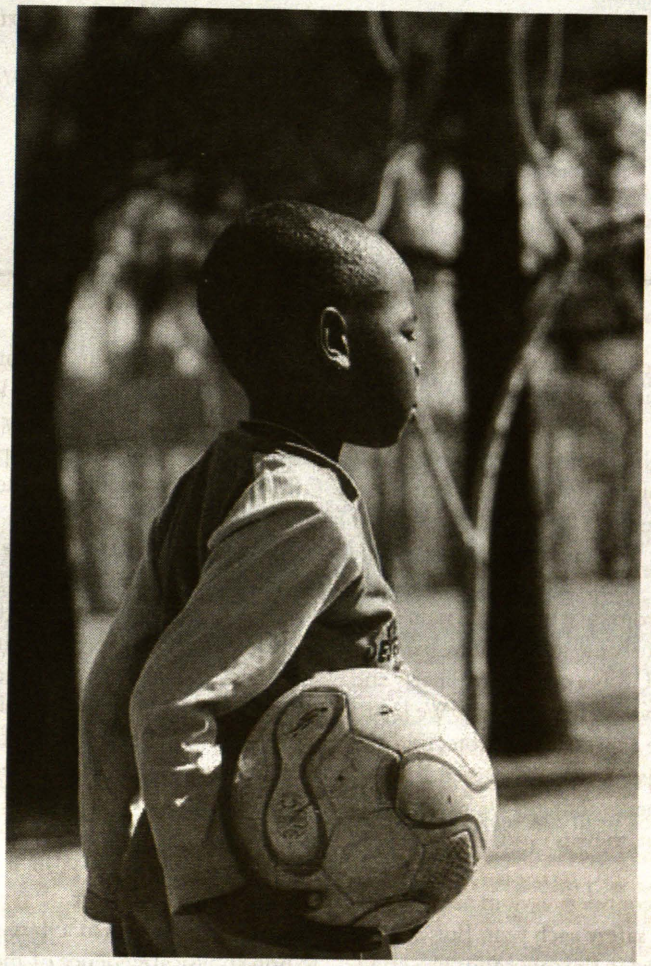
I would say that his most dramatic turnaround is the different policy towards AIDS. Zuma couldn't officially take the role yet due to numerous legal challenges, including a rape allegation. Upon stepping into office, his administration has taken a one hundred and eighty degree turn. Things have gone fairly well in general, though there are minor issues. For example, there was much debate over his appointee to the constitutional court, which is South Africa's version of the U.S. Supreme Court.

What actions do you suggest the Zuma Administration should take in response to the workers' demands for wage increases and additional benefits?

The position of unions is a really difficult one. On the one hand, South Africa has an extremely powerful labor movement. This was critical in ending the apartheid. There are a lot of indications of corruption occurring behind the scenes by government officials with regards to the stadium construction and the reconstruction of transportation infrastructure. Nearly every project has gone over budget and there is too often proof of bribery and kickbacks. I think to some extent the labor unions are justified in wanting their piece of the pie, but there is still the vast majority of the South African population which lives on less than 2 dollars a day. These citizens are faring much worse than any construction worker.

Should an international institution such as FIFA or even the United Nations intervene?

No. Similar situations have happened at other international sporting events. If you look at Athens, South Africa seems to be echoing what happened there a few years ago. The two biggest issues are transportation and accommodations. The mini-bus and taxi industry really provides the bulk of the motor transport for most South Africans. Relatively informal, it is an unregulated industry, which most commuters rely on to get around a large town or city. Drivers and owners of these companies have been very opposed to the construction of the commuter rail, which would link major cities, making transportation much safer and easier for World Cup visitors. These companies have also been opposed to the expansion of government run bus service in many of the towns. Threats of sabotage against said transportation infrastructure have been made as well. Accommodation is another issue. Obviously South Africa has a fairly large tourist industry, but the World Cup will simply take this to another level. Many are unsure if there is even enough room to hold the unprecedented amount of tourism that the nation will witness this summer.



Young South African boy holds a soccer ball. The 2010 World Cup in South Africa is projected to be the most commercially successful since the tournament was first held 76 years ago. (Creative Commons)

Despite these hard times, South Africa has been the envy of the continent. How important is this tournament in that nation's economic future?

It would be hugely helpful in terms of improving South Africa's image worldwide. Unfortunately, it is infamously known as a nation with rampant crime and AIDS. South Africa is actually a beautiful nation with wonderful people and plenty of opportunities. I hope that the exposure from the upcoming tournament will help to improve that image. It goes without saying that there will be a spike and potential momentum that will carry on past the end of the World Cup. The optimist in me believes that it will happen when people travel to South Africa and realize that their stereotypes and preconceived notions are far from accurate.

Delaying Well Deserved Liberty

Seeking Asylum in the United States

By Andrea Levien

Andrea Levien is a sophomore in Saybrook College majoring in political science.

Imagine that after having fled your home country for fear of persecution, you reach the shores of the United States just to be detained by the U.S. government. After all the suffering you have been through at home, you are subjected to more in the U.S., the land of the so-called free. You are given an orange jumpsuit, placed in a cell, and have limited contact with the outside world. You are, for lack of a better word, in prison.

Testimony of an Iraqi woman who was detained in Florida in 2003 states: "My husband and I came here for protection. Everybody says the U.S. is a country of liberty and democracy, and all we wanted was to live in peace. We heard here they protect people. All we expected was protection and peace. I had no idea I'd be in jail. I never dreamed I would be wearing clothes like this. I never thought we would leave only to now go through this. But, there is God, and hopefully someone will help us."

This is the experience of countless asylum seekers who come to the U.S. searching for safety each year. But why are harmless refugees being detained in the thousands like criminals? The answer, as is often the case when it comes to our government, is complicated.

U.S. Immigration and Customs Enforcement (ICE), a branch of the Department of Homeland Security, is responsible for the processing of immigrants. Since 1996, when the Illegal Immigration Reform and Immigrant Responsibility Act was enacted, asylum seekers who reach the U.S. face mandatory detention for an extended period of time, without the ability to bring their cases before independent immigration judges (a right that other detained immigrants usually have). Even if an asylum seeker is traveling with a valid passport, if they have a visitor's visa rather than a visa for new residence, they are detained for not having the "proper documentation." But since asylum in the U.S. can only be granted once a person is in the U.S., and since these people are usually fleeing for their lives and do not have time to obtain proper documentation in their home countries, they are left with no other option but to face detention, even if their identities have already been proven, and even if they have proven community ties in the U.S., like a family member who is a permanent resident or citizen.

Under the U.S. Immigration and Nationality Act, refugees who can prove a "legitimate fear of persecution" are allowed to apply for asylum in the U.S., since if they were to return to their home country, they could be severely harmed. This persecution must be on account of the seeker's race, religion, nationality, membership in a particular social group, or political opinion. Ironically, though, it has been statistically proven that asylum is granted less frequently to refugees from certain countries, such as Haiti, Somalia, and Pakistan, which could imply profiling and a denial of rights based on race, nationality, or religion. Also, it is often difficult for refugees to prove a credible fear of persecution because if they left their home countries in a hurry, they may not have been able to bring physical evidence of their persecution with them. But if the ICE decides that a refugee cannot be granted asylum right away, either because of false documentation or suspicious police records, the refugee can still not be deported because of his credible fear. In this case, the ICE will try to send the refugee to a third country to try his luck there. Or he can be detained in a U.S. facility until his case can be further examined.

Naturally, being detained in a prison-like facility for months on end without any idea of how much longer you will be there has a negative impact on the health of asylum seekers. Says one expert, as reported by Human Rights First, "For someone who's been tortured and locked up in a cell as a political prisoner in their native counties…the experience of being locked up here again can trigger panic attacks, flashbacks." But despite the fact that about 86 percent of asylum seekers interviewed by Physicians for Human Rights

were reported to suffer mentally from their extended detention, psychological counseling, if there is any to be found in a facility, is minimal.

These facilities in which asylum seekers are held are essentially prisons. The detained are forced to wear orange jumpsuits, are transported in shackles, have little access to fresh air, and are allowed very limited visitation from both family and legal counsel, not only because of regulation, but also because detention facilities are often in very remote locations. Because the government offers no funding for refugees to seek legal counsel, many are forced to navigate the asylum system on their own. However, it has been shown that asylum seekers are six times more likely to be granted asylum if they are given access to legal representation. Therefore, asylum seekers must either apply for asylum without counsel, or hope that a non-profit legal organization will take their cases. And even with legal counsel, detained asylum seekers face the challenge of collecting all the necessary documentation and evidence to prove their cases. This process is not only psychologically harmful to asylum seekers but also economically harmful to the American taxpayer. It costs on average $85 to detain one person for one day in a center. That translates into about $130 million spent per year to detain asylum seekers. This is wasteful spending to the utmost extent.

A Border Patrol agent searches a young female Mexican at a federal detention center. (Gerald L. Nino, CBP, U.S. Dept. of Homeland Security)

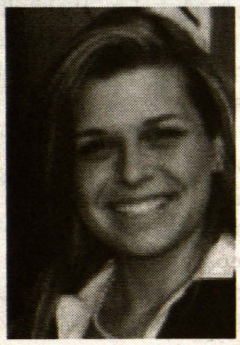
There is much that needs to be done to improve the experiences of asylum seekers when they first reach our shores. But there is hope. On June 10, a bill was proposed by Senators Lieberman, Brownback, Hagel, and the late Senator Kennedy, called the Secure and Safe Detention and Asylum Act. This is a step in the right direction because it provides a specific legal codification of asylum detention procedures for the DHS to abide by, rather than guidelines that the government says they wish they would follow. The act calls for improved conditions within the detention facilities, including access to proper medical care, access to legal council, limits on solitary confinement and other inhumane treatments, and special standards used for victims of torture. It also calls for a review by an immigration judge of the decision to detain the asylum seeker within two weeks of the detention, and also consideration of supervised release if the seeker proves to be neither a flight right nor a threat to public or national security. The act also calls for better documentation of what goes on within these detention facilities, although technically these statistics should be released to Congress and the public under the Freedom of Information Act. We need better statistics on how many detainees are sick, how many have died, and what kind of treatment they are being subjected to. It should be noted that these new regulations would apply to all detained immigrants, and not just asylum seekers.

The changes being made to improve the plight of asylum seekers are executive as well as legislative. Assistant Secretary of the Department of Homeland Security John Morton, sworn in May 2009, has responded to the cries for reform by announcing in August 2009 that he will be overseeing several reforms of the Immigrant Detention Program. His first step towards improvement will be developing the new Office of Detention Policy and Planning (ODPP), which is meant to, "plan and design a civil detention system tailored to the ICE's needs." Since the ODPP will now be regulating the detention facilities for the ICE, the government will no longer have to rely on private contractors for their detention needs. Therefore, it will be easier for the government to monitor what is happening in detention facilities and it will have access to all the statistics that it needs to make sure things run smoothly. This office will include experts on health care administration and detention management and will commission independent reviews of medical complaints made by detainees. There will also be established an Office of Detention Oversight, which will be responsible for checking up on facilities and making sure that they in step with regulations. This system overhaul will make the DHS more capable of carrying out the laws that Congress will hopefully enact within the next year.

Despite your opinion on what the government should do about illegal immigrants, it is hard to deny that placing Tibetan monks, who are fleeing torture by the Chinese government, in prison is a violation of their human rights as innocent victims of persecution. If we deny them safe haven and only greet them with suspicion and detention, then we in turn are just adding to the injustices that can be found in this world. If an asylum seeker can prove his or her identity, prove a credible fear of persecution, and show no indication that he or she will be a flight risk and miss an immigration court hearing, there should be no reason for American tax dollars to pay for locking them up.

Working for Fair Representation

Debating the Role of Ethnic Caucuses in Congress



By Veronica Gordon

Veronica Gordon is a junior in Calhoun College.

Questions of ethnic bias emerged during the confirmation hearings of Justice Sonia Sotomayor. Members of the Republican Party and a variety of conservatives called Justice Sotomayor a "reverse racist" and someone who would be unable to make fair judgments given her past involvement in the Latino community. The media battle that ensued during Justice Sotomayor's hearings brought to the forefront concerns over ethnicity and the role it plays in political decision-making. The unforgettable rants made by these politicos illustrated that even after the election of Barack Obama, ethnicity and race matter to Americans.

These kinds of attacks can be seen in other areas of the public domain as well. Tucson, Arizona's Superintendant Tom Horne has been pushing for the abolishment of "Ethnic Studies" in Tucson since 2007. He accused "Raza Studies," provided in the Tucson Unified School District, of being a promotion of "ethnic chauvinism." Even after the anti-ethnic studies bill died in the state senate, Horne stated he would continue to pursue its elimination. Another effort has begun that calls for the removal of ethnic organizations or centers on college campuses. Critics call these groups self-segregating and counterproductive to acceptance across ethnic groups. Dr. James Sidanius, a professor of psychology and African American Studies at Harvard University, recently published a book, T*he Diversity Challenge: Social Identity and Intergroup Relations on the College Campus.* The book found that racial prejudice, in general, decreases with exposure to an ethnically diverse college campus. Dr. Sidanius stated, "ethnically oriented, student-based organizations such as the Afro-American Studies Association or the Latin American Student Association create more [racial] tension."

> *"Are ethnic groups within a community causing divisiveness or are they merely providing an avenue for politicically marginalized groups to speak out?"*

Are ethnic groups within a community causing divisiveness or are they merely providing an avenue for politically marginalized groups to speak out? This question is at the crux of the backlash that erupted when Republican Representative Tom Tancredo introduced a bill in 2003 that would have abolished ethnic caucuses in Congress. Tancredo stated, "You should not have any organization, a caucus especially, based solely on race. I mean on issues? You bet. But, on race? Why should we be separating ourselves up into these racial divisions?" This logic did not sit well with many members of Congress. His bill was an attack on immigration and a statement about assimilation, or the lack thereof, by these ethnic groups. He went on to say, "I believe, as I think most Americans do, that the best way to remedy the ills of discrimination is not with policies that encourage us to highlight racial and ethnic differences."

But, before deciding whether or not ethnic caucuses are positive for politics and beyond, we must first understand what

ethnic caucuses do and what their role in Congress is. Currently, there are four ethnic caucuses represented in Congress: the Congressional Black Caucus, the Congressional Hispanic Caucus (Hispanic Democrats), the Congressional Hispanic Conference (Hispanic Republicans), and the Asian Pacific American Caucus. These groups come together, create a coalition based on their common interests, and discuss how to push those interests forward. On major pieces of legislation, these caucuses will present their view on behalf of their group and illustrate a piece of legislation's impact on their community. They are the voice of their community in Congress.

Congressional Hispanic Caucus members in 1984. Ethnic caucuses strive to voice the opinions of their underrepresented minorities in Congress. (CBP)

By building these coalitions, they are getting a seat at the political table. For these groups, coming together in this fashion is necessary, given their limited numbers. Of the 435 members of Congress, only 24 are Latinos, and in the Senate, there are only three. In Congress, Latinos make up only 5 percent, while they make up 15 percent of Americans, not including those citizens living in Puerto Rico (3.5 million). By 2050, this group will grow to be 30 percent of America's population by 2050. Between both the House and the Senate, African Americans make up only make up 8 percent, while they make up 14 percent of the U.S. population, and are projected to grow to be 15 percent. Moreover, Asian Americans make up 1 percent of Congress, when they make up a little over five percent of the U.S. population. Asian Americans are projected to grow to be nine percent by 2050.

These numbers might shed some light on the reasons why these minority members group themselves together. They do it to have a voice. When issues of immigration reform, civil liberties, or voting rights arise, these groups must defend their communities with fervor because the numbers simply aren't there. In debates over health care, the stimulus package, or the addition of troops to the efforts in the Middle East, these minority caucuses must speak out for the groups that are most affected by these decisions. The conversation over whether or not ethnic caucuses have a positive impact on politics and whether or not they truly are divisive would be very different if the percentage that these minorities represented in the U.S. was matched in the legislative branch.

Questions of divisiveness are applicable on college campuses, where ethnic group centers may be hubs for social gatherings, but not for Congressional caucuses, where the main goal is to protect the rights and to represent the views of a set of Americans who are not represented proportionally. Questions of racial versus post-racial Americans may apply to discussions of election patterns in certain areas, but not for Congressional caucuses that allow members of other ethnic groups to become members of their coalition.

It is a matter of voice, of representation. The attacks on Sotomayor illustrated how critical some still are of minority groups and their role in our government. The debates over ethnic curriculum and ethnically based campus centers are ongoing. Meanwhile, the election of Barack Obama, while no guarantee, did create a chance to be more aware of the ethnic barriers that continue to exist in this country. Race and ethnicity are not yet a thing of the past. For many within the minority as well as those in the majority. In order to make sure that all views are represented, some coalitions need to exist. Ethnic caucuses play this vital role in Congress. They fill the gap which the electorate has yet to fill with its votes.

A GOP Approach to Health Care

Suggestions for Reform from the Republican Party

By Greg D'Angelo

Greg D'Angelo is a Policy Analyst at The Heritage Foundation's Center for Health Policy Studies. In this position, D'Angelo studies Medicare, prescription drug costs and health care tax credits, among other subjects.

The national debate over health care reform will be the first true test of President Obama's leadership. During the campaign, Obama pledged to reform the health care system so that all Americans could have access to affordable health insurance and high-quality medical care. He promised that Americans who already have coverage could keep their current insurance—that nothing would change except that they would pay less. Obama pointed to the health care that members of Congress have as his vision for reform.

He agreed with the basic principle that Americans should be able to choose their health plan, their doctor and the type of care they receive. He even made a pact that reform would reduce rapidly growing health care costs, cover the uninsured and be fully paid for without raising taxes on middle class Americans.

Great. But how?

A little more than 16 years ago, another Democrat came into office with strong public support for health care reform. But Bill Clinton worked with only a narrow range of policy experts, crafted a 1,000-plus page bill that was largely designed behind closed doors in the White House, and then turned the package over to his party's leaders in Congress.

These were all important mistakes. By failing to draw ideas from both sides of the aisle, Clinton rejected sensible bipartisan solutions and as a consequence his final proposals were out of touch with the public.

Health care is an insanely complex and intensely personal issue. If President Obama intends to pass meaningful- and sustainable- health care legislation, he mustn't perpetuate the partisan politics of the past.

Over the past few months, Obama has left the details of the health reform legislation to Democrats in Congress who crafted their plans behind closed doors with Washington lobbyists. Conservatives were, for the most part, shut out of the room and the process.

And now, the smoke-free rooms in Congress are proving to be hardly different from the smoke-filled rooms of DC 15 years ago. The new, massive bills before Congress are similar in scope to the 1,000-plus page bill concocted during the Clinton years.

> *"The conservatives were, for the most part, shut out of the room and the process."*

It's conventional wisdom that Obama probably over-learned the lesson that Congress should take the lead on health reform. He sent only subtle signals to lawmakers on Capitol Hill, rather than a proposal or a complete reform bill.

Only after the month of August —in which Democrats saw support for health reform falling as they encountered an unforeseen amount of public push-back at town halls—did Obama become directly involved in the process.

In a clear change of strategy, through his recent address before a joint session of Congress, President Obama took ownership of the health reform process. Still, the president hasn't written his own bill or delivered a detailed plan. Instead he broadly described and defended the current bills in Congress with a partisan speech better fit for the campaign trail. While he made several mentions of a "plan," it's not at all clear which of the specific bills in Congress the president supports and which he opposes.

President Obama might have missed his best chance to

exercise leadership and achieve bipartisan reform. He should have scrapped the plans before Congress and started anew.

Instead, Obama decided to label his "plan" bipartisan after saying he'd add malpractice reform demonstration projects to it to potentially attract some conservative support. Obama added, "If you come to me with a serious set of proposals, I will be there to listen. My door is always open." Yet on most key areas of health care there are a number of good, conservative plans already, which lawmakers waved in the air that night.

President Obama should incorporate more of these ideas. In order to succeed, health care legislation should:

- End the discrimination in the tax treatment of health insurance. Tax breaks for health insurance disproportionately favor the wealthy and those who get their health coverage through their employers, discriminating against individuals who have to purchase insurance on their own. The Patients' Choice Act of 2009, sponsored by Sens. Tom Coburn (R-OK) and Richard Burr (R-NC) and Reps. Paul Ryan (R-WI) and Devin Nunes (R-CA), would replace the current tax treatment with a fairer and more equitable system. The Improving Health Care for All Americans Act, sponsored by Rep. John Shadegg (R-AZ) would allow Americans with employer-based coverage to keep it but would also give Americans the ability to obtain tax relief or a voucher to purchase private insurance on their own with the Empower Patients First Act introduced by Rep. Tom Price (R-GA), individuals and families could also receive tax relief to obtain private insurance.

- Establish broad goals at the federal level, but encourage states to take bold action on insurance reform. Rather than trying to create a one-size-fits-all solution in Washington and impose it on the states, the federal government should instead clarify only the broad goals of a reformed health insurance system and encourage states to take the lead in devising the best ways to achieve those goals. Bipartisan bills have already been introduced in both houses of Congress by Reps. Tammy Baldwin (D-WI) and Tom Price (R-GA), Sens. Jeff Bingaman (D-NM) and George Voinovich (R-OH), and Sens. Russell Feingold (D-WI) and Lindsey Graham (R-SC). These plans would encourage states to try bold experiments to fix their state health insurance markets and find the most effective way to cover the uninsured, contain health care costs and meet other federal targets for reform.

Bills such as the Patients Choice Act and the Empower Patients First Act would give states a critical role in creating consumer friendly marketplaces for health insurance. In addition, plans sponsored by Rep. John Shadegg (R-AZ) and Sen. Jim DeMint (R-SC) would allow individuals to purchase health insurance across state lines to create a robust national marketplace for coverage choices.

- Adopt automatic enrollment and allow for defined-contribution employer plans, instead of using government mandates, to expand coverage. Congress and the White House have proposed new federal mandates that employers provide and individuals buy a government-specified level of health insurance coverage or pay a tax. These mandates would, in effect, violate the president's pledge not to raise taxes on the middle class. Indeed, there are people who fall through the cracks of the current system but the solution should not be to impose new federal mandates on employers and individuals. A better way would combine automatic enrollment with financial incentives to make it easier for individuals to obtain coverage. In addition, employers should be given new flexibility to offer defined-contribution rather than defined-benefit health plans, as reflected in the Empower Patients First Act.

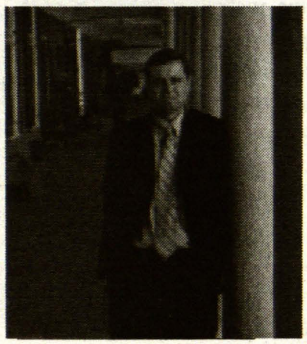
There's bipartisan agreement that the problems with our health care system are real and need to be fixed. But our nation's health care problems are not partisan problems; they are American problems that require bipartisan solutions.

Conservatives have put forward serious proposals and practical solutions to address these problems. Will President Obama listen? The debate over health care reform will test whether the American people can truly believe in more than just the president's words.

"Tea Party" protestors stormed the capital on September 12, 2009 to show their opposition to President Obama's advocacy of health care reform, among other policies. (flickr/wstera2)

Blue Fish Swimming in Red Sea

An Interview with Congressman Tom Perriello (D-VA)



Conducted by Nicholas Rugoff

Congressman Tom Perriello is a Democrat representing Virginia's 5th District in the House of Representatives. A graduate of Yale ('96) and Yale Law ('01), Perriello has a variety of experience in international law that includes working for the Special Court for Sierra Leone and the International Center for Transitional Justice in Kosovo, Darfur, and Afghanistan. He is a co-founder of the web sites faithfulamerica.org, darfurgenocide.org, and avaaz.org.

I want to begin by talking about your time in New Haven. Which courses have most influenced your world view and why?

I remember, actually when I was an undergraduate, taking an environmental policy course with Dan Esty that was a joint course between the forestry and the law schools, and what was interesting about it, was that it was taking on what were seen as traditionally liberal issues like the environment, but looking at market-based solutions, which have now become very mainstream, but at the time were considered quite cutting edge, even a little controversial. I think that idea of Yale being a place at the cutting edge of ideas, at the cutting edge of how to solve some of the great generational challenges we face, and doing so by putting the best ideas on the table regardless of ideology was a very exciting thing to see.

You have a variety of international experience ranging from assisting Sierra Leone Civil War victims to helping prosecute Liberian warlord and President Charles Taylor to serving as a security consultant in Afghanistan, experiences that most members of Congress have not had. Given that your district in mostly rural Virginia is a world away from these places, how do your global ventures affect how you represent the people of Virginia's 5th District?

Well first of all, the way I was able to get so much international experience was Yale Law School sponsoring me to do a lot of work overseas during my time there, and it's a gift that I'm going to appreciate for the rest of my life because I was able to get comparative experience from very different emerging markets and conflict zones over those 3 years that many people don't get in a lifetime. I think that one of the great things to take advantage of at Yale is the ability to do service work, both in the US and overseas. In terms of the perspective it brings, I think the most important lesson I took away from that is that problems from a distance seem absolutely impossible to solve, but when you get up close and really dig your teeth into it looking for solutions, these problems are not intractable; they are looking for entrepreneurial solutions.

It's easy to take, for example, a problem in West Africa, and say well, these people have been fighting each other for a long time and accept a certain fatalism, sometimes even a racially hinged fatalism about parts of Africa. Then, when you're there, you realize hey, these are just like any other problems, you just need to figure out the players, look for opportunities, and you can be part of the solution. So that experience made me feel like you should never break down from a problem just because it's large. Instead, you should figure out a way to break it down. Being able to watch and be part of one of the worst dictators on the planet being forced from power without a single bullet being fired, in the case of Liberian dictator Charles Taylor, was incredible. It wasn't just millions of lives in Sierra Leone and Liberia affected, but it also created a precedent of regime transition through international law that can reverberate and ripple out from there.

When it comes to health care, rural areas are at a major disadvantage with higher uninsured rates, lower percentages of doctors, and fewer health care options. The new health reform plan seeks to eliminate these disparities, yet you have been on the fence about it. ***Washington Post*** **blogger Ezra Klein recently argued that with your mostly liberal background in a typically Republican district, your position on health care reform is likely more reflective of your constituents' beliefs rather than your own view. Would you agree?**

I don't. I have a lot of respect for Ezra, but I think what I've

been very clear about from the beginning is that while I'm a "no" on the current bill, but I've been trying very hard to get to a "yes." I've been making the case in over 100 hours of town hall meetings of why the status quo is broken, but I think sometimes, for political reasons, we focus on a single litmus test on what it means to support a real bill, for example the public option, instead of actually looking at the details and seeing if this is doing the most to protect consumers and bring down costs.

So, in addition to the public option, I think there are issues of competition, affordability, and accountability that we can continue to work on to make the bill stronger. One of the things that I think we do too quickly in our politics is accept a very narrow view of what's possible, i.e., only the bill in front of us or the status quo. We've got to have the courage to keep fighting for what is possible and I think we can do a lot more in health care reform to really transform, for example, the underlying incentive structure that rewards quantity over quality. Those are things that I want to do for my constituents, but they're also things that having grown up as the son of a pediatrician, and as a person of faith who cares about the least among us, I feel that there are still paths out there to fight on in health care reform.

The May 26 *The American Prospect* article "New Kids on the Hill" said, "it's [Perriello's] task to pursue a progressive agenda without alienating voters who are more exasperated with Republicans than committed to liberalism." This brings up the classic political science debate of the representative as a delegate or as a trustee. What do you see as your role? Are there any issues on which you would vote against a policy position held by a majority of your constituents?

My answer to this question is very much a work in progress. I come out of the non-profit sector where I was very able to focus entirely on answering my own sense of calling on change, and i think there are some rules that I feel very clear on: you should always take the time to listen to your constituents, and however you vote, you should take the time to explain that vote to them, whether that's through letters, town hall meetings, emails, etc.

I don't believe in a version of representation which says that we should just simply take a flash poll on every issue and the representative should be just a robot who waits for 51 percent and then takes it from there. If you just have a really good pollster, they could just do the job for you. One of the things we do is elect someone on what they stand for, and you vote for the whole package. So, one of the things that was very important to me when I was running was that I want to run the way I would legislate, which I call conviction politics. I don't always agree with my constituents, but I think they respect, though they may disagree, that I let them know where I stand, and I make my case. At the end of the day, you have to vote for what you think is right for your community, your country, and your conscience.

What are some of those issues where you would disagree?

There is a great scene in an old West Wing episode where this guy is running a campaign and his candidate has died, and he keeps running the campaign even though people don't want him to. He talks about issues, and they say to him, "well 60 percent of people in your district don't agree with that." Well, he says, "60 percent is a landslide, but you flip one person and you're even, you flip two people and you've got a landslide in your direction." I don't think there is a static notion of what I believe and what my constituents believe.

I learn a lot from them. For example, when I started this I don't think I had nearly enough appreciation for the role that vocational skills training and the community college system need to play in our economic development. I learned so much about that from my constituents. In return, when I started, people said "you can't talk about Africa and extreme poverty in the rural South," and I said "no, I think people are good and decent and they do care about this stuff and will be interested if we bother to explain it to them." I think that we've seen this in our district with my election. So, it's not just about where they are and where I am, it's about finding a place that you want to go with people.

So on energy independence, that was an area that was flooded with negative ads and information from the right, but I believe my constituents do want energy independence, and they like the idea of a market based approach. Where do we start with the question of where are my constituents and where am I? At that level of core principle, we're at the same place. Rather than saying, I know there are going to be a lot of nasty spots that turn people against it, I went out and worked hard to make the case and I think I've been able to convince a lot of people that this is crucial for our country and our region.

Conventional political thought has assumed that areas such as your district are against cap and trade pollution control policies. Freedom's Defense Fund, a conservative PAC, ran a television ad in July that attacked your support of cap and trade as harmful to your constituents. A Garin-Hart-Yang Research Group poll released September 21st showed that while a plurality of your constituents polled actually support cap and trade, a majority of them have heard little to nothing about US energy legislation and 74 percent were unsure how you voted on the energy reform bill. Since you've held more recent town hall meetings than any other congress member, what accounts for this information gap? More importantly, why do you think

conventional wisdom has been wrong on this issue?

I think the real division in our politics today is between people showing leadership and focusing on solving problems, and those who are trying to score political points. I think that one objection I've had with Democrats over the years, is that we tend to fight battles issue by issue. So, if it polls highly enough, then we go out and we're for it. Health care and energy independence both polled at nearly 70 percent at the beginning of the summer, yet we lost huge ground on them. This wasn't because people stopped supporting health care and energy independence, but rather because we were treating these as stand-alone issues rather than a generational shift to the service generation becoming the problem solving generation in politics.

I think that what you're seeing is that we have a better story to tell. It's not just that our ideas are better for creating new jobs in this country and helping to cover the uninsured and bring down premiums for those who have insurance. What you saw in August was a revival of the 1960's and 1980's debate between bleeding heart liberalism and anti-government conservatism.

"We have tried to make bipartisanship work, but ultimately, we can and should be judged by whether we did what America needed, not by some artificial standard."

When we leave those things behind, we can focus on how we can combine the forces of the public, private, and non-profit sectors to solve problems. I think that Democrats who are governing will sometimes just assume, we ask a question and if the answer is a majority of people, then we pursue. The question really is where are we trying to take this country? I think my constituents and I share a deep sense that both parties have blown it in recent years because they haven't had the courage to do tough things. I think people are going to look back on things like health care reform and energy independence and say "wow, that was a gutsy thing to do."

The easy thing to do be to kick them down the road like everyone else does, have some "mom and apple pie"—really simplistic, symbolic stuff—and let other people solve the problem. I think we're going to be defined by what the president ended his speech with. Americans, in our DNA, don't back down from problems, but our leaders haven't been living up to that. I think that what people are going to see from this is not whether we were too liberal or too centrist, but that these people didn't miss the moment to solve generational challenges, and I think we'll be really proud to look back at that.

Your "Perriello Energy Blueprint" focuses mainly on Southside Virginia job creation. Democrats have traditionally approached climate change issues from a moral perspective, while Republicans have framed them in an economic light. Why have Democrats mostly been losing the economic debate on climate change? Will this focus on job creation allow Democrats to shift this debate in their favor?

Well, I don't think we are, when you look at polling numbers. What the other side has been effective at doing is strongly mobilizing and amplifying the voice of a minority of folks, who actually oppose this on ideological grounds, not on cost grounds, and it's very difficult for us to win an argument with folks who just make things up. One other thing that our party has not done effectively is we have this idea that if we just convince the *New York Times* editorial board of our plan, then that is the end of the conversation.

We have to go out and make our case to folks, and it's tough and exhaustion. Doing over 100 hours of town hall meetings was exhausting. Our ideas are better, our solutions are better, and when we actually talk to people, they are actually quite smart and they are listening. They see that the other side is taking an issue like cap and trade, an idea that their own party actually came up with for good reason, and then have people come out against it just because Democrats come out and support it. That is really upsetting peoples' sense of fairness, especially when they realize how far behind we're falling in job creation and economic competitiveness to other countries in this field.

They hear from one side that we are going to do all this stuff and China's not going to have to, and then they find out that China is outpacing 5 or 10 to 1 in investment in these areas. We need to show up and have conversations with people rather than simply being angry that people don't agree with us.

Health Care "City on a Hill"

Lessons from Health Care Reform in Massachusetts

By Andrew Feldman

Andrew Feldman is a junior in Morse College majoring in political science.

In the national debate over health care reform, the example of Massachusetts has been something of a Rorschach test, in which each party sees vindication of its own beliefs. Supporters of a public option claim Massachusetts's budget problems are due to a lack of a government plan, while opponents of government plans point to the higher-than-expected costs as reason to proceed cautiously and err on the side of covering fewer people. An honest review of the Massachusetts program reveals both the promise and the perils of any meaningful reform of health care, and the limited success of the Massachusetts reforms.

The story of health care reform in Massachusetts begins in early 2005. First-term governor Mitt Romney, fresh off an embarrassing state election in which Republicans lost seats in both houses of the state legislature, was in a tough spot. Halfway through his governorship, Romney had accomplished little, and any hope of being reelected or running for president depended on proving himself capable of achieving significant legislative accomplishments. And, as both the House and the Senate had Democratic supermajorities, there was no possibility for forcing through conservative policies.

It is not hard to imagine why Romney settled on health care reform as his main initiative. Health care reform is a serious and pressing issue, and finding solutions for a problem that has evaded national problem-solvers for decades would give him serious credentials. Though the number of Massachusetts residents without health insurance was around 8 percent, lower than the national average of 18 percent, the health care system remained an economic, social, and moral issue in need of reform.

In his State of the State address to a joint session of the General Court in January 2005, Romney announced his intentions to expand health care coverage by allowing for more stripped-down health care plans and creating a new system of incentives and penalties. "Massachusetts can be the first state in the nation where every one of its citizens has health care coverage," Romney told members of the House and Senate.

> *"Though the number of Massachusetts residents without health insurance was around 8 percent, lower than the national average of 18 percent, the health care system remained an economic, social, and moral issue in need of reform."*

In April, Romney followed through, announcing a plan that would require all residents to carry health insurance (otherwise known as an individual mandate). To make this possible, he would change the law so that insurance companies could offer cheaper plans with fewer benefits. Shortly afterwards, Senate President Robert Travaglini unveiled his own plan, which was similar to Romney's. With both men backing similar plans, the chances for passage of some sort of bill looked good.

The major health care reform advocacy groups were not impressed by Romney's and Travaglini's plans. Health Care for All (HCFA) and the Greater Boston Interfaith Organization (GBIO), the two major groups pushing for health care reform, wanted a guarantee of universal coverage, rather than a partial expansion. And they pointed out that, while Romney and

Traviglini touted their lack of tax increases or employer mandates, both were necessary to achieve widespread coverage.

As Romney fleshed out the details of his plan, the advocacy groups liked it less and less. The minimal-coverage plans could be paid with pre-tax dollars and would have premiums of about $150 for an individual. Travaglini also wanted to penalize businesses of more than 50 employees that didn't offer health insurance, since those employees end up using the free care pool and costing taxpayers money.

To show that they meant business, universal health care advocates turned out almost a thousand supporters at the hearings for the bill in June. "There is so much power in this room," said former state representative and executive director of HCFA John McDonough. Their strong showing in support of universal health care made it known to the governor and the leadership that they would be a force to be reckoned with.

As September rolled around, Romney officially filed his bill. It instantly drew criticism, and was labeled by some critics as a "Yugo" plan—cheap, but requiring so many out-of-pocket expenses so as to make it in reality expensive. Academics disparaged the plan, and McDonough couched his argument in religious terms, saying that citizens must bear "witness to the sin, the immorality, to the insanity of our health care system."

Travaglini fired back, echoing concerns of business groups and contending that "we must ensure that our proposed solutions do not cause more harm than they do good," a reference to the proposed tax increases. He insisted, rightly, that the state could not insure everyone while simultaneously spending less and improving quality. That much was agreed—what was disputed was what exactly to do about it.

While this was happening, two external factors weakened Romney's position. First, he began dropping strong hints that he would run for president, a prospect which made the Democratic leadership less willing to work with him, lest they hand him successes that would aid his presidential bid.

Second, statistics showed that the situation was getting worse. The number of uninsured had grown 10 percent, and health care had risen 8.8 percent, compared to 6.1 percent nationally. Nationally, only 60 percent of employers were providing health care, down from 69 percent. And Massachusetts still had to foot an $800 million bill to pay for emergency care for the uninsured. Advocates, in other words, had a strong case that more radical reform was needed.

As a counterproposal, a group of more liberal legislators filed the Health Access and Affordability Act, which would

Supporters of health care reform rally in Seattle earlier this year. Democrats on the federal level are looking to adjust the national health care system in the way Massachussets did a few years ago. (flickr/Neil Parekh/SEIU Health care 775NW)

rette tax and a payroll tax for companies that do not provide health insurance. It was backed by HCFA and GBIO and a coalition of doctors, hospitals, religious groups, and business leaders. It also gained the endorsement of Deval Patrick, then-candidate for the 2006 Democratic nomination for governor who was subsequently elected in 2006.

To make their threat credible, by October GBIO gathered enough signatures to place a proposal for universal health care on the ballot in 2006. "Our goal is to put the brakes on state representatives who just want to do something quickly and go home," said Rabbi Jonah Pesner of Temple Israel in Boston. "We want them to do it right." As the coalition picked up momentum, House Speaker Sal DiMasi got on board, saying he hoped to get a bill to the Governor by November, when the legislature adjourned.

Health insurance company Blue Cross Blue Shield of Massachusetts released an analysis in which it outlined a possible $200 per month plan. Cost reduction would be achieved though higher co-pays and deductibles, discouraging ER visits and expensive procedures, and fewer benefits than allowed by law at the time.

Romney pounced on the report, citing it as legitimating his idea. "We didn't make this up on our own. It disabuses the whole notion that these are stripped down, bare-bones products," said Tim Murphy, Secretary of the Executive Office of Health and Human Services. At that price, many poor people who don't qualify for Medicaid would be able to afford it, and those could not would receive state subsidies.

But the opposing camp was not placated. "It's time for the governor to put up or shut up," said HCFA's McDonough, in reference to all of the other details that had not been laid out in full. "The only thing worse than a high-priced policy that you can't afford is a low-cost policy that you can't use. You end up being de facto uninsured, but now you're paying for it," said State Senator Mark C. Montigny, a former chairman of the Joint Health care Financing Committee.

As November approached, DiMasi took up the liberal bill in the House. Business leaders urged caution, and expressed concern over the payroll tax. Opponents pointed out that, at the time, employers that covered their employees paid a surcharge on the plans that went to the free care pool, but those that didn't insure their workers didn't. They contended that the reform would actually make the business climate better eliminating the need for the free care pool and brining down health care costs.

Besides the economic and moral arguments, there was one further reason to pass some sort of reform: the federal government. Masachusetts' Medicaid waver mandated coverage of a certain number of uninsured by July 1, 2006, and the state would lose hundreds millions of dollars if it did not comply. And so, under pressure for action, both the House and Senate passed bills, setting up a showdown between the opposing proposals.

The debate settled into one about financing. Liberal groups were worried that a poorly-formulated plan would make things worse. If the payroll tax was cheaper than insuring workers, companies would dump insurance, pushing thousands of people into the new, low-budget plans. "We call it faith-based health insurance," said McDonough. "You're supposed to pray you don't get sick, because if you get sick, you're in trouble."

Religious groups also made a moral case for reform. GBIO board member Gerald Algere wrote in the Boston Globe, that, "We have an opportunity to be [...] the City on a Hill.

Finally, they made the argument that broad reform would actually improve the business climate and level the playing field between small and large business. In a survey of Massachusetts businesses, health case costs were identified as the biggest threat to viability.

The opposing side fell into line, with the Massachusetts High Tech Council contending that these proposals would harm the state's efforts to make Massachusetts competitive for biotechnology firms. They preferred plans that put little burden on employers. The payroll tax, they claimed, would insure some people at the expense of others losing their jobs.

Amid the chatter and verbal battles, members of conference committee were working hard to reach some sort of compromise. But by January, negotiations had stalled. Senators were skeptical of the House plan and thought it would raise only a third of what DiMasi claimed it would. At the end of February, Travaglini announced that the House bill was dead and that they would enact a more narrow plan.

At that point, the politics of the debate gained a few nasty streaks. While Romney was out of state trashing the Democrats at Republican fundraisers, DiMasi claimed that Romney threatened to have Health and Human Services Secretary Mike Leavitt deny Massachusetts the federal funds if DiMasi passed the payroll tax. Romney denied it, blaming DiMasi for the slow process. DiMasi blamed the Senate and said that Romney cared only about his future political career.

Then, in the beginning of March, legislative leaders announced a compromise between Travaglini and DiMasi. Instead of payroll tax, they along with business leaders had decided that the state would charge a per-employee fee to employers that do not contribute toward health insurance. The compromise would cover half to two-thirds of uninsured people and would contain an individual mandate.

With a compromise suddenly reached, the various parties were unsure of how to react. Unimpressed, HCFA reserved judgment and GBIO did not back down from the planned ballot initiative. The business community split, with small business and hi-tech opposed due to their fear of crippling costs. The general business lobby, on the other hand, supported it because it avoided the alternative of an expensive payroll tax.

With the ball in his court, Romney was caught between his state responsibilities and his national ambitions. The business fees were anathema to free market conservatives, and conser

vative icon Grover Norquist called on Romney to veto them. However, Romney was almost certainly aware that without the fees, the budget for the plan would not balance.

Fortunately for Romney, a way out was apparent. In April he signed the bill into law but used his line-item veto powers to veto the portions that assessed the fee. Immediately following that, the legislature overrode his veto. Romney could claim credit for the plan's benefits, while blaming Democrats for the fees.

> *"Despite the law, not everyone in Massachusetts can afford insurance. Many people are not poor enough to qualify for subsidized programs, yet too poor to be able to afford the health insuarance they are offered."*

But one more question needed to be answered. The Affordable Care Today coalition still had their planned ballot initiative. If they withheld their support and instead charged ahead with the popular initiative, the whole thing could be thrown into disarray. In July, however, they decided to abandon the imitative and instead focus on the implementation of the legislature's law.

Though the law had been passed, there were still worries about its future. Michael Dukakis's attempted reforms in 1988 had faced opposition and were later repealed. And the details to be decided by the government were crucial, such as how much do businesses have to contribute to avoid the $295 fee. There was also the question of whether those who didn't quality for subsidies would be able to afford coverage.

As the Romney administration was on its way out, it tied up lose ends by announcing that businesses would have to provide some coverage to avoid the fee, but not as much as activists hoped. And then he was off to run for president, replaced by Deval Patrick, Massachusetts' first Democratic governor in 16 years and an unabashed liberal who would get to handle the plan as it went into effect in 2007.

Fast forward to the present. Two and half years since the law went into effect, the debate is over to what extent the plan has succeeded. The debate here, though, has less to do with ideology and more with misunderstanding of what it sought to accomplish.

Despite some of the rhetoric, the Massachusetts plan dealt very little with the rising costs of health care. Nor did it address the problems with health care quality. Rather, it was designed to achieve universal coverage in the state.

In light of that, the program has been generally successful. Hundreds of thousands of previously uninsured Massachusetts residents have purchased insurance since it became law, pushing the uninsurance rate down to a national low of 4.1 percent, according to the Census Bureau.

And it has done so without bankrupting the state. Health insurance subsidies currently cost the state about $1 billion, and is set to rise about 88 million dollars each year for the next four years, according to the Massachusetts Tapayers' Foundation. The use of federal funds, the increased employer contributions, revenues from fines, and a reduction in the number of uninsured people seeking emergency care, the state has figured out how to pay for the program, and least in the short term.

One area where the bill has fallen short: underinsurance. Though most Massachusetts residents now have insurance, many who do face high deductibles. Practically speaking, this creates a barrier in seeking medical treatment, and is a significant reason why people do not seek treatment for known problems.

Furthermore, despite the law, not everyone in Massachusetts can afford insurance. Many people are not poor enough to qualify for subsidized programs yet still too poor to be able to afford the health insurance they are offered. A survey by the Kaiser Family Foundation found that many in Massachusetts who earn just more than the cutoff for subsidies cannot afford unsubsidized coverage.

On the whole, though, the law can be considered a limited success. The law has high approval ratings in the sixties, according to a 2008 Harvard School of Public Health poll.

If the last three years in Massachusetts serve as a reminder of anything it is that the problems of health care are deeply rooted in every aspect of the system. The Massachusetts law addressed neither quality nor cost precisely, because to do so would have required a politically unpalatable shakeup of the entire system. And, if any reform is to be achieved, it has a better chance of being implemented well if it enjoys broad support among those who will have to implement it.

Unfortunately for national leaders, though, there is reason to doubt the usefulness of the example for them. For one, Massachusetts had an initial rate of uninsurance almost half that of the nation, and it was already spending a lot of money on the free care pool. Those conditions made it easier and less shocking to change the system.

Perhaps the one lesson that can be drawn from Massachusetts is the importance of public interest lobbying groups. Though the dynamic of lobbying differs on the national level, the efforts of HCFA and GBIO clearly had an effect, forcing liberal legislators to live up to their stated beliefs. If Democrats can wring every ounce of liberalness out of their members of Congress and show Republicans their popular support, they just might be able to pull it off.

Yale University's

Interdisciplinary Center for Bioethics

The Yale Institution for Social and Policy Studies

ISPS strives to facilitate interdisciplinary inquiry in the social sciences and research into important public policy arenas.

Working Groups

Animal Ethics

Genetically Modified Plants

End-of-Life Issues

Perspectives on Aging

Risk Assessment Forum

Technology and Ethics

238 Prospect Street
P.O. Box 208209
New Haven, CT 06520-8209
Telephone: (203) 432-7336
Email: bioethics.center@yale.edu

For further information about ISPS and the Bioethics Center, please visit www.yale.edu/isps or www.yale.edu/bioethics

The Whitney and Betty MacMillan Center for International and Area Studies at Yale

Academic & Research Programs
Grant & Fellowship Opportunities
Workshops • Public Lectures
Fox International Fellowships
Conferences • Publications
PIER Community Outreach
Seminars • Visiting Scholars

Bringing the World to Yale

www.yale.edu/macmillan